Project Greyhound

DRAFT

Due diligence assistance

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August 21, 2019

This document is submitted as a DRAFT for your review. In addition, the document is presently under review within KPMG LLP ("KPMG"). During this internal review process, KPMG will revisit the assumptions upon which our conclusions are based and submit the document for comment to at least one qualified reader not involved in its creation. This process is intended to ensure that the final product fully meets your requirements and our own standards. KPMG authorizes NO use of our reference to the figures, conclusions or information contained in the document until you have ascertained that the facts we present in the document are correct and we have completed our internal review process.

Important notice

This report is provided to Lakeshore Recycling Systems ("Client", "LRS", or "you") on a confidential basis pursuant to our engagement letter dated July 2, 2019 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties. If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than the Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of the Client and KPMG.

In preparing our report, our primary source has been Client's internal management information and representations made to us by Management of Client. We do not accept responsibility for such information which remains the responsibility of Management and we have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The quality of earnings and working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and working capital by adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings and working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital trends for future periods may be affected by such items, which may be different from the historical items.

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Alan T. Handley
Chief Executive Officer
Lakeshore Recycling Systems
6132 Oakton St.
Morton Grove, IL 60053

August 21, 2019

Dear Mr. Handley,

We have completed our procedures to assist Lakeshore Recycling Systems ("Client" or "you") in performing financial due diligence in connection with your prospective acquisition ("the Transaction") of Great American Environmental Services, Inc., Wood Island Waste Management, Inc., and Great American Disposal of Wisconsin LLC. (collectively, the "Company", or "Target") in accordance with the terms of our engagement letter dated July 2, 2019, including its Terms and Conditions.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room, discussions/meetings with Target Management, and access to the audit work papers. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from July 2, 2019 to August 21, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to August 21, 2019. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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Glossary

$'000	Thousands of United States dollars
AP	Accounts payable
AR	Accounts receivable
Avg	Average
BS	Balance sheet
C&D	Construction and Demolition
Capex	Capital expenditures
Client	Lakeshore Recycling Systems ("Client", "LRS", or "you")
COGS	Cost of Goods Sold
Company/Target	Great American Environmental Services, Inc., Wood Island Waste Management, Inc. and Great American Disposal of Wisconsin LLC. (collectively the "Company" or "Target")
Cont'd	Continued
COS	Cost of Sales (or Cost of Goods Sold)
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earnings before interest, taxes, depreciation and amortization
Excl.	Excluding
FTEs	Full Time Employees
FYXX	Fiscal year ended December 31, 20XX
GADW	Great American Disposal of Wisconsin LLC
GAES	Great American Environmental Services, Inc.
GM	Gross margin
GP	Gross profit
HR	Human Resources
Interco	Intercompany
IRP	International Registration Plan
K	Thousand
KPI	Key Performance Indicator
Management	Management of Target
Max	Maximum
MCW	Municipal commercial waste
Michigan DEQ	Michigan Department of Environmental Quality
Min	Minimum
n.a.	Not available
n.q.	Not quantifiable
NWC	Net Working Capital
P&L	Profit and Loss Statement
QofE	Quality of Earnings
SG&A	Selling, General & Administrative expenses
SW	Solid waste
SWPF	Processing Facility
TB	Trial Balance
Transaction	The prospective acquisition
TTM	Last / Trailing Twelve months
US	United States
US GAAP	United States Generally Accepted Accounting Principles
USD	United States Dollars
WIWM	Wood Island Waste Management, Inc.
YTD	Year to date

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Basis of preparation and limitations

Basis of preparation	Sources of information	Key outstanding information	Data limitations
This report has been prepared for Lakeshore Recycling Systems to assist you in performing due diligence in connection with your prospective acquisition ("the Transaction") of Great American Environmental Services, Inc., Wood Island Waste Management, Inc., and Great American Disposal of Wisconsin LLC. (collectively the "Company", or "Target"). Per the agreed upon scope of work, our analyses covers the historical periods ended December 31, 2017 and 2018 and the trailing twelve months ended June 2019.	The analyses presented in this report are based on the financial information prepared by Management for the historical periods ended December 31, 2017 and 2018 and the trailing twelve months ended June 2019. The findings presented in this report are based on the following key sources of information: ■ Discussions held with the Company's Management (David Brisson, CEO; Debbie Bryant, Controller); and ■ Data room access: key information provided by Management in an electronic data room. The contents in our report have not been reviewed by Management and we have not confirmed in writing the factual accuracy of this report.	We note the following outstanding information as at the date of this report: ■ Detailed fleet schedule for all active trucks and equipment indicating the model, age and location. ■ Listing of capital expenditures (historical, current, planned for the next 3 years delineated by maintenance and growth; ■ Organizational structure and legal structure schedules; ■ Total volume by transfer station from Jan-17 to Jun-19; ■ Detailed schedule of ARO and related perpetual care fund; ■ Routes by site and by line of business; and ■ Miscellaneous questions that reside with Management for response.	We note the following limitations in scope as at the date of this report: ■ Within the GAES entity, Management does not track the performance of each transfer station separately. Instead, the Company reviews the performance of GAES by location (i.e. Kingsford, Munising and Negaunee).

Executive summary

Business overview

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Transaction overview

David Brisson

- Great American Environmental Services, Inc.
- Great American Disposal of Wisconsin LLC
- Wood Island Waste Management, Inc.
- Loadmaster Corporation

Transaction perimeter

1 **GAES**: Represented 50.6% of total revenue in TTM Jun-19. Headcount as at Jun-19 was 57 FTEs.

2 **GADW:** Represented 36.6% of total revenue in TTM Jun-19. Headcount as at Jun-19 was 40 FTEs.

3 **WIWM:** Represented 12.8% of total revenue in TTM Jun-19. Headcount as at Jun-19 was 14 FTEs.

Business overview

- Great American Environmental Services, Inc. ("GAES") provides a variety of front end and rear end pick-up waste collection services for commercial, industrial, municipal and residential customers in north east Michigan. Owns and operates four transfer stations and operates a fifth transfer station on behalf of Dickinson County.
- Great American Disposal of Wisconsin LLC. ("GADW") provides hauling and collection services to residential and commercial customers in the Wisconsin area. Operates a transfer station on behalf of Brown County.
- Wood Island Waste Management, Inc. ("WIWM") is a landfill and provides waste disposal services primarily for affiliated entities (i.e. GAES and GADW) and other customers in north east Michigan.
- GADW has a contract with Brown County that generated $2.58 million of revenue in TTM Jun-19, representing 15.7% of combined revenue.
- The Company reports under US GAAP and all numbers in this report are in USD, unless otherwise noted.
- The analysis contained in this report was prepared based on the discussion held with Management; and other information provided by Management in an electronic data room.

Summary financial statements

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The Company's financial year end is December 31.

The financial statements of GAES and WIWM were reviewed by Fleury Singler & Company P.C. for FY17 and FY18. Also included within this review were the financial statements of Loadmaster Corporation, which is outside of the Transaction perimeter.

The financial statements of GADW were separately compiled by Fleury Singler & Company P.C. for FY17 and FY18.

Refer to Appendix 2 for a reconciliation of the internal trial balances to the annual financial statements of GAES and WIWM, and GADW.

Combined IS (GAES, GADW, WIWM)

$'000	FY17	FY18	TTM Jun-19
Revenue	15,673	17,305	17,685
Direct cost of sales	(6,866)	(7,955)	(8,284)
Direct employee costs	(5,579)	(6,094)	(6,372)
Cost of sales & employee costs	(12,446)	(14,049)	(14,656)
Gross profit	**3,227**	**3,256**	**3,028**
Depreciation and amortization	(1,927)	(3,110)	(3,240)
Insurance	(273)	(260)	(276)
Licenses and fees	(150)	(189)	(153)
Utilities	(164)	(180)	(184)
Rent	(112)	(114)	(114)
Contracted services	(225)	(124)	(117)
Office supplies	(77)	(89)	(91)
Bond/letter of credit	(68)	(75)	(76)
Property tax	(56)	(65)	(64)
Other operating expenses	(39)	(46)	(59)
Bad debts	(23)	(45)	(51)
Legal & professional fees	(25)	(35)	(42)
Advertising	(29)	(34)	(45)
Other operating expenses	(65)	(19)	(11)
Dues and subscriptions	(20)	(16)	(20)
Travel and entertainment	(20)	(17)	(16)
Total operating expenses	(3,274)	(4,417)	(4,559)
Net ordinary income	**(46)**	**(1,160)**	**(1,530)**
Net other income (expense)	(92)	(159)	(187)
Net income	**(138)**	**(1,319)**	**(1,717)**
EBITDA, reported	**2,039**	**2,137**	**1,931**

Source: Management provided information, KPMG analysis

Combined BS (GAES, GADW, WIWM)

	As at		
$'000	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**
Assets			
Checking/savings	817	936	626
Accounts receivable	1,759	2,143	2,127
Prepaid expenses	358	426	476
Other Current Assets	554	549	525
Prebillings	(173)	(222)	(245)
Current Assets	3,316	3,832	3,509
Fixed Assets	6,230	6,169	7,440
Other Assets	6,079	5,301	6,156
Total Assets	**15,625**	**15,303**	**17,105**
Liabilities & Equity			
Accounts Payable	(1,333)	(2,007)	(2,750)
Accrued Liabilities	(233)	(195)	(216)
Other Current Liabilities	(1,425)	(1,430)	(1,533)
Current Liabilities	(2,992)	(3,633)	(4,499)
Long Term Liabilities	(7,500)	(8,070)	(9,435)
Total Liabilities	**(10,492)**	**(11,703)**	**(13,934)**
Shareholders' equity			
Equity	(5,133)	(3,600)	(3,172)
Total Liabilities & Equity	**(15,625)**	**(15,303)**	**(17,106)**

Source: Management provided information, KPMG analysis

Basis of Presentation

The financials presented above represent GAES, GADW and WIWM. In preparing these financials, we combined the trial balances of GAES, GADW and WIWM for FY17, FY18 and TTM June-19. These statements are not consolidated; we have considered the intercompany transactions between GAES, GADW and WIWM and note the net impact to EBITDA and Net working capital to be immaterial. Refer to Appendix 6 for a Summary of intercompany transactions.

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Company snapshot

GAES

Background:

- Great American Environmental Services, Inc. (“GAES”) provides hauling services collection services for commercial, residential and municipal clients in the Michigan area and it contributed 50.6% of total combined revenue in TTM Jun-19.
- GAES operates five transfer stations; of which four are owned and one is operated as part of a long term contract with Dickinson County.

GAES KPIs, reported

	GAES			As a % of combined total		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Revenue	8,081	8,736	8,944	*51.6%*	*50.5%*	*50.6%*
Gross margin	1,203	1,298	1,257	*37.3%*	*39.9%*	*41.5%*
EBITDA	628	688	653	*30.8%*	*32.2%*	*33.8%*
Total assets	5,516	5,769	5,962	*35.3%*	*37.7%*	*34.9%*
Net assets	2,541	2,631	2,439	*49.5%*	*73.1%*	*76.9%*

Source: Management provided information, KPMG analysis

Fleet analysis:

[Information outstanding from Management]

Customer review:

- **Dickinson County:** GAES operates a solid waste processing facility and transfer station on behalf of Dickinson County. Original contract was executed in FY16 for a ten year term (with a 10 year extension option). Represents the largest customer for GAES (i.e. the second-largest customer for the Company) with $993,000 (or 6.0%) of revenue in TTM Jun-19.

GADW

Background:

- Great American Disposal of Wisconsin LLC. (“GADW”) represented 36.6% of the total revenue in TTM Jun-19 and offers hauling and collection services for residential and commercial clients in Wisconsin.
- GADW operates one transfer station on behalf of the Brown County, servicing north east Wisconsin and the surrounding area.

GADW KPIs, reported

	GADW			As a % of combined total		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Revenue	5,497	6,191	6,475	*35.1%*	*35.8%*	*36.6%*
Gross margin	1,314	1,377	1,223	*40.7%*	*42.3%*	*40.4%*
EBITDA	833	942	734	*40.9%*	*44.1%*	*38.0%*
Total assets	3,466	3,331	4,136	*22.2%*	*21.8%*	*24.2%*
Net assets	669	691	551	*13.0%*	*19.2%*	*17.4%*

Source: Management provided information, KPMG analysis

Fleet analysis:

[Information outstanding from Management]

Customer review:

- **Brown County:** GADW operates a transfer station and hauling operation on behalf of Brown County. This contract is currently under negotiation for renewal (original contract was executed in August 2009 and renegotiated in February 2014 for a five year term). Represents the Company’s largest customer, contributing $2.58 million of revenue (or 15.7%) in TTM Jun-19.

WIWM

Background:

- Wood Island Waste Management, Inc. (“WIWM”) provides waste disposal services and management services (e.g. recycling) in north-east Michigan.
- WIWM contributed 12.8% of total revenue in TTM Jun-19 and 28.2% of combined reported EBITDA over the same period.

WIWM KPIs, reported

	WIWM			As a % of combined total		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Revenue	2,096	2,378	2,266	*13.4%*	*13.7%*	*12.8%*
Gross margin	711	581	548	*22.0%*	*17.8%*	*18.1%*
EBITDA	577	507	544	*28.3%*	*23.7%*	*28.2%*
Total assets	6,642	6,203	7,006	*42.5%*	*40.5%*	*41.0%*
Net assets	1,922	277	181	*37.5%*	*7.7%*	*5.7%*

Source: Management provided information, KPMG analysis

Fleet analysis:

[Information outstanding from Management]

Customer review:

- **Affiliated entities:** The largest customers for WIWM are GAES and GADW, contributing $1.32 million of revenue in TTM Jun-19.
- **Schneider’s Iron & Metal:** Represented $326,000 of total revenue in TTM Jun-19.
- **Neenah paper:** A paper company in Munising, Michigan; contributed $319,000 of revenue in TTM Jun-19.

Key findings - Quality of earnings

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Issue	Summary observations	Key analysis
Quality of earnings *Combined reported EBITDA of $1.93 million during TTM Jun-19 increased to $1.99 million after potential adjustments identified during diligence.*	See below	Pages 14 to 21

- The following table summarizes reported and adjusted EBITDA for FY17, FY18 and TTM Jun-19:

Quality of Earnings

$'000	GAES FY17	GAES FY18	GAES TTM Jun-19	GADW FY17	GADW FY18	GADW TTM Jun-19	WIWM FY17	WIWM FY18	WIWM TTM Jun-19	Combined FY17	Combined FY18	Combined TTM Jun-19
Net sales, reported	**8,081**	**8,736**	**8,944**	**5,497**	**6,191**	**6,475**	**2,096**	**2,378**	**2,266**	**15,673**	**17,305**	**17,685**
Total potential adjustments										(21)	-	-
Net sales, potentially adjusted										**15,652**	**17,305**	**17,685**
Net income, reported	19	90	40	9	22	(247)	(167)	(1,431)	(1,511)	(138)	(1,319)	(1,717)
Add/(deduct)												
Interest	58	81	94	101	127	149	84	132	157	243	339	400
Taxes	6	7	7	0	0	0	-	-	-	6	7	7
Depreciation and Amortization	545	511	512	722	793	831	660	1,806	1,897	1,927	3,110	3,240
EBITDA, reported	**628**	**688**	**653**	**833**	**942**	**734**	**577**	**507**	**544**	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*7.8%*	*7.9%*	*7.3%*	*15.2%*	*15.2%*	*11.3%*	*27.5%*	*21.3%*	*24.0%*	*13.0%*	*12.3%*	*10.9%*
Total potential adjustments										(0)	50	54
EBITDA, potentially adjusted										**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted										*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

- Significant potential adjustments for TTM Jun-19 include the following:
  - **Landfill normalization adjustments (+$267,000):** This adjustment normalizes for heightened costs at the landfill in FY18 relating to (i) leachate treatment (including diesel fuel costs associated with hauling the leachate), and (ii) employee costs to support the construction of new cells and cell closure; and
  - **Incremental standalone costs (-$232,000):** Represents the incremental costs required to operate the business as a standalone entity, independent of Loadmaster.
  - **Owner's compensation ($+178,000):** To add back the salary earned by David Brisson (CEO) of $178,000 in FY17 and FY18. We understand that post-transaction, David's role and duties will be absorbed by an existing employee of Lakeshore Recycling Systems (LRS). As such, we have removed the gross salary of David in the determination of EBITDA.
- Refer to Quality of earnings section for further details and commentary.

KPMG

Key findings - Net working capital and Net debt

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Issue	Summary observations	Key analysis
Net working capital *Reported average working capital for TTM Jun-19 increased from $196,000 to $507,000 after potential adjustments identified during diligence.*	■ The following table summarizes reported and adjusted net working capital for FY17, FY18 and TTM Jun-19:	Pages 24 to 25

Net working capital - Combined (GAES, GADW, WIWM)

$'000	As at 31-Dec-17	As at 31-Dec-18	As at 30-Jun-19	Average FY17	Average FY18	Average TTM Jun-19
Total current assets	1,944	2,347	2,358	2,163	2,377	2,296
Total current liabilities	(1,567)	(2,202)	(2,966)	(1,603)	(2,069)	(2,100)
Net working capital, reported	**378**	**144**	**(607)**	**560**	**309**	**196**
As % of TTM net sales	*2.4%*	*0.8%*	*(3.4%)*	*3.6%*	*1.8%*	*1.1%*
Total potential adjustments	20	452	903	(17)	191	311
Net working capital, potentially adjusted	**398**	**596**	**296**	**544**	**500**	**507**
As % of TTM net sales	*2.5%*	*3.4%*	*1.7%*	*3.5%*	*2.9%*	*2.9%*

Source: Management provided information, KPMG analysis

We recommend using TTM Jun-19 average adjusted working capital of $507,000 as a target for closing working capital, assuming there are no significant changes to the business requirements.

■ Significant potential adjustments to working capital as at June 30, 2019 include the following:

— **Cell development payables (+$924,000):** This adjustment removes from working capital the payables to vendors for cell construction and development on the basis that it is capital in nature.

Issue	Summary observations	Key analysis
Net debt *Adjusted net debt as at June 30, 2019 was $[…] million.* *The present value of the perpetual care fund, remediation liability and cell closing costs is $362,000 as at June 30, 2019. The nominal value should be considered within net debt; this information is outstanding from Management as at the date of this report.*	■ The following table summarizes reported and adjusted net cash / (debt) as at June 30, 2019:	Page 28

Net cash / (debt)

	$'000	30-Jun-19	On BS ?
Net cash / (debt)			✓
1	Notes payable	(3,567)	✓
2	Long term debt	(3,632)	✓
3	Notes receivable	2,304	✓
4	Current portion of long term debt	(1,533)	✓
5	Checking / savings	626	✓
6	Fixed asset related loans payable	(485)	✓
Net cash / (debt), reported		**(6,287)**	
Potential adjustments			
1	Perpetual care fund	[…]	✓
2	Landfill remediation liability	[…]	✓
3	Accrued cell closing costs	[…]	✓
Potential adjustments		-	
Net cash / (debt), adjusted		**(6,287)**	
Other considerations			
A	Odor management monitoring system	(250)	✕
B	Residential prebillings	(245)	✓

Source: Management provided information, KPMG analysis

■ Significant potential adjustments to net cash / (debt) as at June 30, 2019 include the following:

— **Perpetual care fund (*[…]*):** Funds set aside to cover the potential retirement obligation of the landfill;

— **Landfill remediation liability (*[…]*):** The retirement obligation and potential remediation costs as a result of operating the landfill; and

— **Accrued cell closing costs (*[…]*):** Represent costs to comply with final closure and post-closure requirements established by regulation.

■ Other considerations to net cash / (debt) include (i) the potential purchase of an Odor management monitoring system for leachate treatment, and (ii) residential prebillings currently accounted for within NWC.

KPMG

Quality of earnings

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Quality of Earnings (1) - Overview

The aside table presents a summary of underlying earnings after considering adjustments identified by Management and during due diligence.

Combined reported EBITDA of $1.93 million during TTM Jun-19 increased to $1.99 million subsequent to potential adjustments.

Adjustments to reported EBITDA that have been identified during due diligence aim to more closely reflect the underlying revenue base and cost structure of the business.

Significant adjustments are discussed further on the following pages.

Quality of Earnings

	GAES			GADW			WIWM			Combined		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Net sales, reported	**8,081**	**8,736**	**8,944**	**5,497**	**6,191**	**6,475**	**2,096**	**2,378**	**2,266**	**15,673**	**17,305**	**17,685**
Total potential adjustments										(21)	-	-
Net sales, potentially adjusted										**15,652**	**17,305**	**17,685**
Net income, reported	19	90	40	9	22	(247)	(167)	(1,431)	(1,511)	(138)	(1,319)	(1,717)
Add/(deduct)												
Interest	58	81	94	101	127	149	84	132	157	243	339	400
Taxes	6	7	7	0	0	0	-	-	-	6	7	7
Depreciation and Amortization	545	511	512	722	793	831	660	1,806	1,897	1,927	3,110	3,240
EBITDA, reported	**628**	**688**	**653**	**833**	**942**	**734**	**577**	**507**	**544**	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*7.8%*	*7.9%*	*7.3%*	*15.2%*	*15.2%*	*11.3%*	*27.5%*	*21.3%*	*24.0%*	*13.0%*	*12.3%*	*10.9%*
Total potential adjustments										(0)	50	54
EBITDA, potentially adjusted										**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted										*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Overview

- The table above presents a summary of the Company's reported and adjusted EBITDA. The analysis in this section is prepared based on the following sources of information:
  - Monthly internal financial statements (refer to Appendix 2 for a reconciliation to the reviewed and compiled financial statements);
  - Additional supporting information provided by Management in an electronic data room;
  - Discussions held with the Company's Management team (Dave Brisson, CEO; Debbie Bryant, Controller).
- The nature of the adjustments included in our quality of earnings analysis are as follows:
  - EBITDA, reported: Reflects definitional add-backs (i.e. interest, income taxes, depreciation and amortization) to Net income / (Loss);
  - Potential adjustments: Represent (i) adjustments of one-time or non-recurring nature to reflect the underlying revenue and earnings of the core business; and (ii) normalization adjustments identified and estimated to reflect go-forward EBITDA run-rate.

Basis of Presentation

The quality of earnings schedule above illustrates normalizations to EBITDA and other factors to be considered which were identified for the fiscal years ended December 31, 2017, 2018 and trailing twelve months ended June 30, 2019.

The proposed normalizations are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed normalizations.

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Quality of Earnings (2) - Potential adjustments

Quality of Earnings			
$'000	FY17	FY18	TTM Jun-19
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments

The following are adjustments to reported EBITDA identified during diligence:

1. **Landfill normalization adjustments:** In FY18, the Company incurred heightened costs at the landfill relating to (i) leachate treatment (including diesel fuel costs associated with hauling the leachate), and (ii) employee costs to support the construction of new cells and cell closure.
   - *Leachate treatment costs:* In FY18, the Company experienced higher than average leachate expense at the landfill, from $197,000 in FY17 to $367,000 in FY18. During this period, the Company was in the process of closing cells 9 and 10 and opening cell 11. In July 2018, the landfill had twelve acres from cells 9 and 10 exposed and six acres of the cell 11 exposed. Management represents that they hired a closure contractor who was originally supposed to start work in June 2018, but didn't fully start until September 2018. As such, the landfill had 18 acres between three cells exposed. Further, the summer of 2018 brought record rainfall, including an incident of six inches of rain over the course of two days. The average leachate volume from July 2018 to October 2018 was 1.18 million gallons; approximately 609,000 gallons in excess of the same period in the prior year (i.e. July 2017 to October 2017). During this period in FY18, the Company had three tankers hauling leachate full-time, which added to the incremental leachate disposal fees. These costs have reduced in FY19.
   - Average leachate volume in YTD Jun-19 was 602,000 gallons and the offsite removal of contaminated water has been reduced to one tanker hauling part-time (i.e. 30 hours per week). Management expects this expense to continue this trend for the remainder of FY19. In the determination of EBITDA, we have normalized leachate expense from June 2018 to November 2018 using FY17 volumes as a proxy of the normal course run-rate volume.

Leachate treatment expense - WIWM			
$'000	FY17	FY18	TTM Jun-19
Reported			
Leachate expense	(197)	(367)	(290)
Leachate volume (Gallons)	6,684	12,780	10,168
Leachate expense per gallon, reported	(0.03)	(0.03)	(0.03)
Adjusted			
Leachate gallons, adjusted	6,684	9,804	7,419
Leachate gallons, adjustment	-	(2,976)	(2,749)
Leachate expense, adjustment	**-**	**85**	**76**

Source: Management provided information, KPMG analysis

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Quality of Earnings (3) - Potential adjustments

Quality of Earnings			
$'000	FY17	FY18	TTM Jun-19
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments (Cont'd)

The following are adjustments to reported EBITDA identified during diligence:

1. **Landfill normalization adjustments (Cont'd):**

- *Leachate fuel hauling expense:* As previously noted, the Company had three tankers hauling leachate full-time from June 2018 to November 2018, which added to the incremental leachate disposal fees. This also increased diesel fuel costs during this period. Management represents that diesel fuel costs represent approximately 15 cents per gallon of leachate. As such, we have adjusted for the increased diesel fuel costs incurred to haul the incremental gallons over this period. *[Management to confirm fuel cost is not included within Leachate expense]*

Landfill fuel costs - WIWM			
$'000	FY17	FY18	TTM Jun-19
Diesel fuel, reported	(165)	(234)	(198)
Leachate expense per gallon, reported	(0.03)	(0.03)	(0.03)
Leachate volume adjustment (Gallons)	-	(2,976)	(2,749)
Fuel adjustment	**-**	**42**	**38**

Source: Management provided information, KPMG analysis

- *Landfill employee costs:* The headcount at the landfill has historically been approximately twelve employees. Headcount would ramp up to fifteen people at times when additional labor was needed to assist with the construction of a new cell, cell closure or leachate treatment. From our review of the landfill and through discussions with Management, we understand that eight FTEs is sufficient to sustain ongoing operations. To the extent additional headcount is required to assist with cell construction or closure, the incremental salaries should be capitalized and not expensed. As such, we have normalized the historical period to represent eight employees at the landfill as part of ongoing operations.

Landfill employee costs - WIWM			
$'000	FY17	FY18	TTM Jun-19
Salaries and wages, reported	(388)	(542)	(504)
Headcount (Average)	11	12	12
Salaries and wages per FTE	(34)	(44)	(44)
Normalized headcount	8	8	8
Salaries and wages, adjustment	**116**	**190**	**154**

Source: Management provided information, KPMG analysis

KPMG

Quality of Earnings (4) - Potential adjustments

Quality of Earnings			
$'000	FY17	FY18	TTM Jun-19
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments (Cont'd)

The following are adjustments to reported EBITDA identified during diligence:

2. **Incremental standalone costs:** Represents the incremental costs required to operate the business as a standalone entity, independent of Loadmaster. Through discussions with Management it has been noted that certain administrative FTEs and indirect contracts are shared between the Target entities and Loadmaster. It is estimated that an additional $232,000 in incremental costs may be required to operate the business as a standalone. These costs arise from incremental FTEs, requirement for new office space, and diseconomies of scale on shared contracts. Refer to "Incremental standalone costs" section on page 40 for further analysis.
3. **Owner's compensation:** The Company records the salary of David Brisson (CEO) partially within GAES ($134,000) and GADW ($44,000). In aggregate, David earned a salary of $178,000 in FY17 and FY18. We understand that post-transaction, David's role and duties will be absorbed by an existing employee of Lakeshore Recycling Systems. As such, we have removed the gross salary of David in the determination of EBITDA.
4. **Non-operating income / (expense):** Includes non-recurring gains / (losses) related to the sale of fixed assets and non-operating income.

Adj. #4 Non-operating income / (expense)			
$'000	FY17	FY18	TTM Jun-19
Gain and loss on sale of assets	122	120	153
Interest from accounts receivable	18	18	17
Non-operating income and expneses	140	137	170
Non-operating income / (expense), adjustment	**(140)**	**(137)**	**(170)**

Source: Management provided information, KPMG analysis

- *Gain / (loss) on sale of assets:* Relates to the gains and losses incurred on the sale of equipment;
- *Interest income on trade receivables:* Relates to interest collected on trade receivables from customers. This interest is non-operating in nature and has been removed in the determination of EBITDA.

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Quality of Earnings (5) - Potential adjustments

Quality of Earnings			
$'000	FY17	FY18	TTM Jun-19
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments (Cont'd)

The following are adjustments to reported EBITDA identified during diligence:

5. **One-time medical costs:** The Company contributes to a self-insured medical plan for their employees on a monthly basis. On average, the Company contributes $50,000 per month to the plan. To the extent that an employee (or member of the plan) requires medical attention, these costs are drawn from the plan. The Company has a stop-loss metric in place to insure against catastrophic or unpredictable losses, which is $60,000 per member.
   - In March 2019, one member of the plan incurred heightened medical expenses. As a result, the Company had to contribute an additional $99,000 and $170,000 in March 2019 and April 2019, respectively. Part of this withdrawal was reimbursed in May 2019 ($161,000).
   - In June 2019, the Company further deposited $195,000 into the plan to fund additional medical expenses. The Company expects to receive a stop-loss reimbursement in July 2019.

   Given the plan incurred heightened medical expenses in FY19 due to the circumstances noted above, the Company's regular course contributions were reduced over the same period. This adjustment reverses the incremental deposits to the plan and stop-loss reimbursements related to these medical events, and trues up the contributions in FY19 to reflect the historical average.
6. **Discretionary 401k match:** The Company does not offer any formal bonus program, instead they offer a discretionary 401k match of 2% of employee contributions. The Company's participation in this program is determined at the end of each fiscal year, based on overall performance. The Company engaged in this program in FY16 and in FY17. In FY17, the Company matched all 401k contributions and incurred $36,000 and $15,000 in GAES and GADW, respectively (approximately $51,000 in total). Management did not engage in the program in FY18. Although this program is discretionary, it does represent a form of compensation and could be reasonably expected from employees. This adjustment includes the cost of this program in FY18 and YTD FY19 and normalizes the FY17 expense rateably over the fiscal year.

Quality of Earnings (6) - Potential adjustments

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Quality of Earnings			
$'000	**FY17**	**FY18**	**TTM Jun-19**
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments (Cont'd)

The following are adjustments to reported EBITDA identified during diligence:

7. **Normalization and reclassifications:** Various other adjustments were made to the Company's accounts to normalize for certain expenses, to correct monthly cut-off errors, reclassifications between trial balance accounts. These adjustments have a net nil impact to EBITDA in FY17 and FY18 and a marginal impact ($44,000) in TTM Jun-19.
   - *License and fees:* The Company records IRP license expense on a semi-annual basis. This adjustment normalizes the semi-annual expense on a monthly basis;
   - *Road grade and maintenance:* The Company typically has road maintenance costs while working on the landfill, which are sporadic in nature and expensed when incurred. This adjustment normalizes the expense on a monthly basis.
   - *Life insurance:* To normalize the monthly accrual based on the actual annual expense incurred;
   - *Bad debt:* The Company does not have a general bad debts provision, instead this is expensed when incurred. This adjustment normalizes each year's reported bad debt on a monthly basis using monthly sales to allocate the expense;
   - *Fuel tax:* The Company expenses fuel tax when incurred, typically once per year at year-end. This adjustment normalizes the annual expense on a monthly basis;
   - *Legal and professional fees:* The Company records the annual review / compilation expense on an annual basis. This adjustment normalizes the annual expense on a monthly basis;
   - *Property tax:* To normalize the monthly accrual based on each year end assessment of property taxes payable;
   - *Waste surcharge:* The Company remits quarterly payments to the Michigan DEQ of $0.75 per ton. This adjustment normalizes the quarterly payment on a monthly basis.

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Quality of Earnings (7) - Potential adjustments

Quality of Earnings	FY17	FY18	TTM Jun-19
$'000	**FY17**	**FY18**	**TTM Jun-19**
Net sales, reported	**15,673**	**17,305**	**17,685**
Adjustments			
1 Non-operating income / (expense)	(21)	-	-
Total adjustments	(21)	-	-
Net sales, potentially adjusted	**15,652**	**17,305**	**17,685**
Net income, reported	**(138)**	**(1,319)**	**(1,717)**
Add/(deduct)			
Interest	243	339	400
Taxes	6	7	7
Depreciation and Amortization	1,927	3,110	3,240
EBITDA, reported	**2,039**	**2,137**	**1,931**
EBITDA margin, reported	*13.0%*	*12.3%*	*10.9%*
Potential adjustments			
1 Landfill normalization adjustments	116	317	267
2 Incremental standalone costs	(232)	(232)	(232)
3 Owner's compensation	178	178	178
4 Non-operating income / (expense)	(140)	(137)	(170)
5 One-time medical costs	-	-	143
6 Discretionary 401k match	(14)	(34)	(46)
7 Normalization and reclass	(0)	-	(44)
8 Run-rate rent expense (GADW)	(44)	(42)	(42)
9 One-time contracted services	83	-	-
10 Notice of violation payment	54	-	-
Total potential adjustments	(0)	50	54
EBITDA, potentially adjusted	**2,039**	**2,187**	**1,985**
EBITDA margin, potentially adjusted	*13.0%*	*12.6%*	*11.2%*

Source: Management provided information, KPMG analysis

Potential adjustments (Cont'd)

The following are adjustments to reported EBITDA identified during diligence:

8. **Wisconsin run-rate rent expense:** The GADW office and shop located at 2300 E. Deerfield Road (Suamico, Wisconsin) is leased to the Company by Suamico Holding, LLC (a related party) at a rate of $4,500 per month. Management represents that they are currently building an addition to this facility and expect this betterment to increase monthly rent to approximately $8,000 per month. We have trued-up the rental expense at Wisconsin throughout the historical period to reflect the run-rate rent.
9. **One-time contracted hauling services:** In FY17, the Company engaged Van Pay Transport LLC., to haul waste for certain routes on their behalf. These contracted services incurred fees of $44,000 and $39,000 in March 2017 and April 2017, respectively. Management realized that outsourcing hauling services was too costly and reverted internally to support these routes thereafter.
10. **Notice of violation payment**: In FY17 the Company incurred a fine from the Michigan Department of Environmental Quality (DEQ) due to odor emissions at the landfill. The initial fine was upwards of $100,000; Management represents that this fine was further reduced to $54,000 which was recorded in September 2017. The Company has never previously had a violation of this nature, and does not expect this to recur. We have removed the penalty payment in the determination of EBITDA.

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Quality of Earnings (8) - Other considerations

Other considerations

The following includes potential quality of earnings items identified during due diligence that should be considered in the overall evaluation of the business. These items may be subjective in nature or difficult to quantify and as a result, they have not been included in the quality of earnings schedule.

- **Related party rent:** The Company currently rents (i) 1005 East Blvd, Kingsford (GAES) from David Brisson, and (ii) 2300 E. Deerfield Road, Suamico from Suamico Holding, LLC. We understand that both lessor's are related parties to the Company. We suggest you negotiate market rate leases as part of the closing process.
- **Brown County landfill:** We understand that the Brown County landfill will reach the end of its life in one to two years. We believe that the county is in the process of permitting a new site. The Brown County Transfer Station that Target operates currently takes waste to this landfill. We recommend you consider the cost implications of re-routing waste to alternate landfills in the surrounding area.
- **Leachate gas management system:** The Company currently has a machine that collects leachate from the landfill and vaporizes the liquid back onto the open cell face. Management considers this system a less costly alternative to hauling all leachate from the landfill. There is a risk however that vaporizing the leachate could lead to odor issues at the landfill. The Company had previously incurred a $54,000 fine in September 2017 by the Michigan DEQ for odor emissions at the landfill. The Michigan DEQ recommended the purchase of a machine to monitor odor at the landfill; this piece of equipment would cost approximately $250,000. We suggest you consider the leachate management system as part of your review of the landfill.
- **Unaudited financial results:** The Company has historically not been audited as there was no requirement by stakeholders. We have not identified any significant issues on reporting in performing due diligence, however we recommend you consider this increased risk in your review of the Company.

Net working capital and Net debt

Stratified balance sheet

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The reported balance sheet has been stratified into Net working capital (NWC), Infrastructure, Net debt and Other categories. For net working capital, refer to the following pages for additional analysis.

The aside table presents the combined net assets of GAES, GADW and WIWM segregated into its components as at June 30, 2019.

The Company's consolidated net assets as at June 31, 2019 were $3.17 million.

The analysis in the section that follows is focused on working capital.

Stratified balance sheet - Combined (GAES, GADW, WIWM)

	As at			As at 30-Jun-19			
$'000	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**	**NWC**	**Infra structure**	**Net Debt**	**Others**
Assets							
Checking/savings	817	936	626	-	-	626	-
Accounts receivable	1,759	2,143	2,127	2,127	-	-	-
Prepaid expenses	358	426	476	476	-	-	-
Other Current Assets	554	549	525	-	-	525	-
Prebillings	(173)	(222)	(245)	(245)	-	-	-
Other Current Assets	2,499	2,896	2,883	2,358	-	525	-
Current Assets	3,316	3,832	3,509	2,358	-	1,151	-
Fixed Assets	6,230	6,169	7,440	-	7,440	-	-
Other Assets	6,079	5,301	6,156	-	1,897	1,780	2,479
Total Assets	**15,625**	**15,303**	**17,105**	**2,358**	**9,337**	**2,930**	**2,479**
Liabilities & Equity							
Accounts Payable	(1,333)	(2,007)	(2,750)	(2,750)			
Accrued Expenses	(233)	(195)	(216)	(216)	-	-	(0)
Other Current Liabilities	(1,425)	(1,430)	(1,533)	-	-	(1,533)	-
Current Liabilities	(2,992)	(3,633)	(4,499)	(2,966)	-	(1,533)	(0)
Long Term Liabilities	(7,500)	(8,070)	(9,435)	-	-	(7,684)	(1,751)
Total Liabilities	**(10,492)**	**(11,703)**	**(13,934)**	**(2,966)**	**-**	**(9,217)**	**(1,751)**
Net assets	**5,133**	**3,599**	**3,171**	**(607)**	**9,337**	**(6,287)**	**728**

Source: Management provided information, KPMG analysis

1 **Accounts receivable:** Included trade receivables from third party customers and intercompany receivables from GAES and GADW to WIWM for dumping waste at the landfill.

2 **Prepaid expenses:** Included prepayments related to employee medical insurance.

3 **Other current assets:** Represented notes receivable between the GAES, GADW, WIWM and other related parties (i.e. Loadmaster, shareholders).

4 **Prebillings:** The Company bills in advance for residential (i.e. quarterly, semi-annually and annually) and commercial (i.e. monthly) collection services. This represented amounts collected upfront for services to be rendered.

5 **Accounts payable and accruals:** Included trade payables and accruals for salaries and wages, vacation, property tax and other miscellaneous accruals.

6 **Other current liabilities:** Current portion of long term debt.

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Net working capital (1) - Overview

Reported average net working capital for the trailing twelve months ended June 30, 2019 of $196,000 increased to $507,000 after potential adjustments identified during diligence. Refer to the following pages for potential adjustments to working capital and other considerations.

Net working capital

	GAES			GADW			WIWM			Combined			Average		
$'000	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**	**31-Dec-17**	**31-Dec-18**	**30-Jun-19**	**FY17**	**FY18**	**TTM Jun-19**
Current assets															
Accounts receivable	614	907	832	557	430	652	589	806	644	1,759	2,143	2,127	1,882	2,105	2,032
Prebillings	(79)	(111)	(134)	(93)	(111)	(111)	-	-	-	(173)	(222)	(245)	(100)	(128)	(148)
Prepaid expenses	296	322	353	34	65	61	29	39	62	358	426	476	381	401	412
Total current assets	830	1,119	1,050	497	384	602	617	844	706	1,944	2,347	2,358	2,163	2,377	2,296
Current liabilities															
Accounts payable	(930)	(1,113)	(1,194)	(202)	(250)	(375)	(202)	(645)	(1,180)	(1,333)	(2,007)	(2,750)	(1,390)	(1,843)	(1,900)
Accrued liabilities	(122)	(109)	(113)	(48)	(57)	(63)	(63)	(29)	(40)	(233)	(195)	(216)	(213)	(226)	(201)
Total current liabilities	(1,052)	(1,222)	(1,307)	(250)	(307)	(438)	(265)	(674)	(1,220)	(1,567)	(2,202)	(2,966)	(1,603)	(2,069)	(2,100)
Net working capital, reported	**(222)**	**(103)**	**(257)**	**247**	**77**	**164**	**353**	**171**	**(514)**	**378**	**144**	**(607)**	**560**	**309**	**196**
As % of TTM net sales	*(2.7%)*	*(1.2%)*	*(2.9%)*	*4.5%*	*1.2%*	*2.5%*	*16.8%*	*7.2%*	*(22.7%)*	*2.4%*	*0.8%*	*(3.4%)*	*3.6%*	*1.8%*	*1.1%*
Total potential adjustments										20	452	903	(17)	191	311
Net working capital, potentially adjusted										**398**	**596**	**296**	**544**	**500**	**507**
TTM adjusted net sales										15,652	17,305	17,685	15,652	17,305	17,685
As % of TTM net sales										*2.5%*	*3.4%*	*1.7%*	*3.5%*	*2.9%*	*2.9%*

Source: Management provided information, KPMG analysis

Overview

- The table above presents a summary of the Company's reported and adjusted net working capital.
- The nature of the adjustments included in our net working capital analysis are as follows:
  - Potential adjustments: Represent (i) adjustments of one-time or non-recurring nature to reflect the underlying working capital of the core business; and (ii) normalization adjustments identified and estimated to reflect run-rate working capital.
- Adjustments to reported working capital that have been identified during due diligence aim to more closely reflect the underlying net working capital requirements of the business.

Basis of Presentation

The working capital schedule above illustrates normalizations to net working capital and other factors to be considered which were identified for the fiscal years ended December 31, 2017, 2018 and trailing twelve months ended June 30, 2019.

The proposed normalizations are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed normalizations.

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Net working capital (2) - Potential adjustments

Net working capital						
	As at			Average		
$'000	31-Dec-17	31-Dec-18	30-Jun-19	FY17	FY18	TTM Jun-19
Current assets						
Accounts receivable	1,759	2,143	2,127	1,882	2,105	2,032
1 Prebillings	(173)	(222)	(245)	(100)	(128)	(148)
Prepaid expenses	358	426	476	381	401	412
Total current assets	1,944	2,347	2,358	2,163	2,377	2,296
Current liabilities						
Accounts payable	(1,333)	(2,007)	(2,750)	(1,390)	(1,843)	(1,900)
Accrued liabilities	(233)	(195)	(216)	(213)	(226)	(201)
Total current liabilities	(1,567)	(2,202)	(2,966)	(1,603)	(2,069)	(2,100)
Net working capital, reported	**378**	**144**	**(607)**	**560**	**309**	**196**
As % of TTM net sales	*2.4%*	*0.8%*	*(3.4%)*	*3.6%*	*1.8%*	*1.1%*
Potential adjustments						
1 Cell development payables	-	483	924	-	189	333
2 Discretionary 401k match payable	18	(34)	(24)	(20)	(2)	(25)
3 Accrued salaries and wages	2	3	3	3	4	3
Total potential adjustments	20	452	903	(17)	191	311
Net working capital, potentially adjusted	**398**	**596**	**296**	**544**	**500**	**507**
As % of TTM net sales	*2.5%*	*3.4%*	*1.7%*	*3.5%*	*2.9%*	*2.9%*

Source: Management provided information, KPMG analysis

1 Represents billings in advance for residential (i.e. quarterly, semi-annually and annually) and commercial (i.e. monthly) collection services. This represented amounts collected upfront for services to be rendered. We have included this within NWC, however this could be viewed as debt-like and treated as a reduction to the purchase price.

Potential adjustments

The following are adjustments to reported working capital identified during diligence:

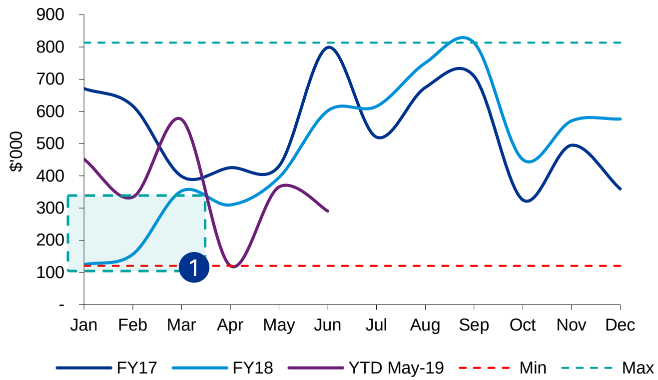
1. **Cell development payables:** The Company incurred expenses in FY18 related to the development of Cell 11 and 12, at the landfill. These expenses were incurred from the following vendors: (i) Geo-Synthetics LLC., Clean Air and Water Systems LLC., and Bacco Construction Co. This adjustment removes the related payable to these vendors from working capital on the basis that it is capital in nature and related to cell development.
2. **Discretionary 401k match payable:** Consistent with QofE Adjustment #6, this adjustment includes the 401k match accrual in the determination of working capital.
3. **Accrued salaries and wages:** This adjustment normalizes salaries and wages accrual, consistent with QofE Adjustments #1, #2 and #3.

Net working capital (3) - Seasonality

Potentially adjusted average net working capital was $507,000 for the TTM Jun-19 period.

Management represents that there is not typically any major seasonality inherent in the business. Waste contracts are typically long-term in nature and services continue year-round. However, working capital requirements tend to increase in the summer months due to increased C&D activity.

Net working capital seasonality



Source: Management provided information, KPMG analysis

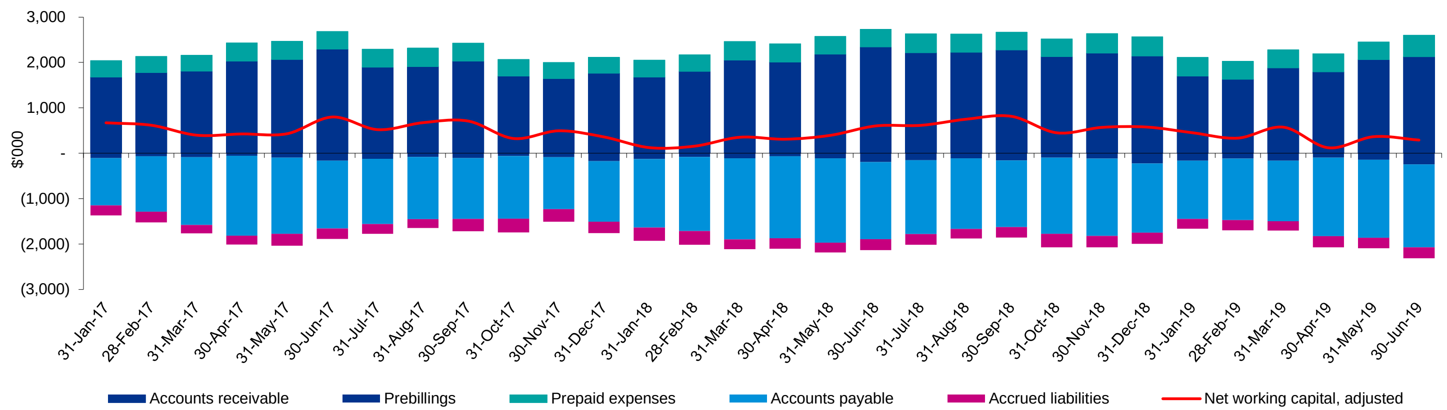
NWC seasonality				
$'000	**Minimum**	**Maximum**	**Range**	**Avg. NWC**
FY17	334	799	465	544
FY18	167	831	665	500
TTM Jun-19	126	831	705	507

Source: Management provided information, KPMG analysis

1

Working capital dipped in January and February 2018. Management represents that winter FY18 brought notable snow fall; on multiple instances the Company had to cancel (or limit) routes due to weather conditions.

Net working capital, potentially adjusted



Source: Management provided information, KPMG analysis

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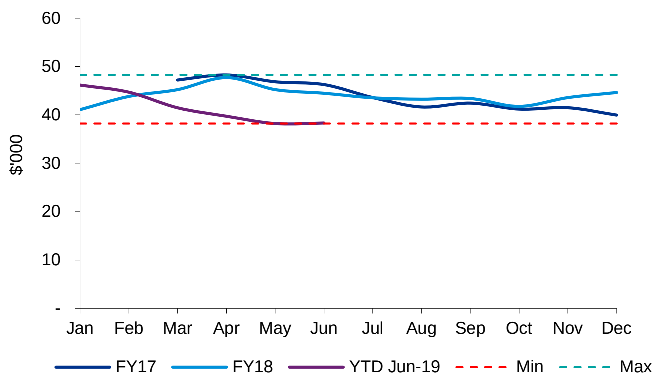
Net working capital (4) - Days

The adjacent analysis is presented on an adjusted basis and incorporates our proposed working capital adjustments.

On a combined basis the DSO was on average 41 days in TTM Jun-19 and DPO 40 days. The Company takes longer to pay intercompany transactions (in TTM Jun-19, average DSO and DPO between affiliated entities was 191 days and 190 days, respectively).

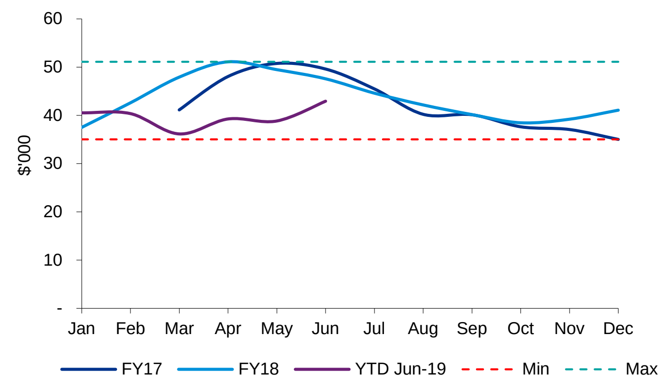
On average, DSO from external sales was 30 days in TTM Jun-19 while DPO from external purchases was 24 days over the same period.

DSO, adjusted



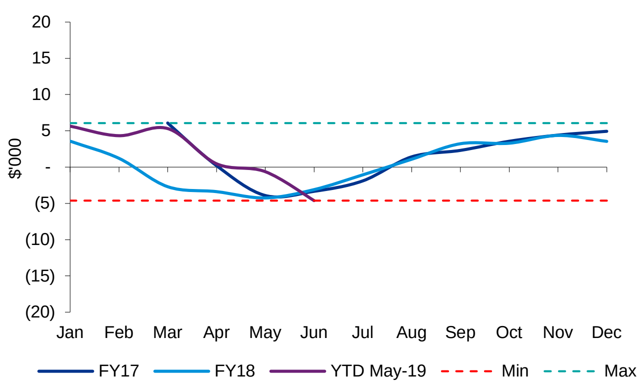
Source: Management provided information, KPMG analysis

DPO, adjusted



Source: Management provided information, KPMG analysis

Cash conversion cycle, adjusted



Source: Management provided information, KPMG analysis

Working capital metrics, adjusted

	Intercompany			External			Combined		
	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
DSO									
Max	248	257	242	34	32	33	48	48	46
Average	213	193	191	31	31	30	44	44	41
Min	140	139	165	29	30	27	40	41	38
DPO									
Max	248	257	241	32	32	30	51	51	43
Average	213	193	190	26	26	24	43	44	40
Min	140	139	165	22	22	22	35	38	36
Cash conversion cycle									
Max	-	-	1	10	9	9	6	4	6
Average	-	(0)	0	6	4	6	1	0	2
Min	-	(0)	(0)	0	(0)	(2)	(4)	(4)	(5)

Source: Management provided information, KPMG analysis

Supporting analysis

Net cash / (debt)

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Net cash / (debt)					
		As at			
$'000		31-Dec-17	31-Dec-18	30-Jun-19	On BS ?
Net cash / (debt)					✓
1	Notes payable	(2,524)	(3,403)	(3,567)	✓
2	Long term debt	(2,582)	(2,589)	(3,632)	✓
3	Notes receivable	2,423	2,486	2,304	✓
4	Current portion of long term debt	(1,425)	(1,430)	(1,533)	✓
5	Checking / savings	817	936	626	✓
6	Fixed asset related loans payable	(434)	(451)	(485)	✓
Net cash / (debt), reported		**(3,726)**	**(4,450)**	**(6,287)**	
Potential adjustments					
1	Perpetual care fund	*[...]*	*[...]*	*[...]*	✓
2	Landfill remediation liability	*[...]*	*[...]*	*[...]*	✓
3	Accrued cell closing costs	*[...]*	*[...]*	*[...]*	✓
Potential adjustments		-	-	-	
Net cash / (debt), adjusted		**(3,726)**	**(4,450)**	**(6,287)**	
Other considerations					
A	Odor management monitoring system	(250)	(250)	(250)	✕
B	Residential prebillings	(173)	(222)	(245)	✓

Source: Management provided information, KPMG analysis

We have included prebillings within NWC, however this could be viewed as debt-like and treated as a reduction to the purchase price. To the extent it is treated as debt-like, it should be removed from the working capital peg. We suggest you consider this as part of the closing process.

Overview

- Combined reported net debt of $6.29 million as at June 30, 2019 decreased to $*[...]* million after potential adjustments.
- Reported net debt is comprised of the following:
  - **Notes payable and receivable:** Comprised of notes payable to First National Bank and notes payable / receivable amongst GAES, GADW, WIWM, Loadmaster and the shareholders;
  - **Current and long term debt:** Primarily comprised of the Company's line of credit and other long term debt liabilities;
  - **Cash:** Management represents there are no restricted cash balances;
  - **Fixed asset related loans:** Loans for trucks and equipment, payable to CAT, John Deere and Ford.
- Adjustments to net debt include:
  - **Perpetual care fund:** Funds set aside to cover the potential retirement obligation of the landfill;
  - **Landfill remediation liability:** Represents the retirement obligation and potential remediation costs as a result of operating the landfill. Management has estimated this liability based entirely upon Michigan regulations.
  - **Accrued cell closing costs:** Represent costs to comply with final closure and post-closure requirements established by regulation.

  The present value of the perpetual care fund, remediation liability and cell closing costs is $362,000 as at June 30, 2019. The nominal value should be considered within net debt; this information is outstanding from Management as at the date of this report.
- Other items which should be considered and discussed with the Company are as follows:
  - **Odor management monitoring system:** The Company currently has a machine that collects leachate from the landfill and vaporizes the liquid back onto the open cell face. After being fined in FY17 for odor emissions at the landfill, the Michigan DEQ recommended the purchase of a machine to monitor odor at the landfill. We recommend you consider the purchase of this equipment as potentially debt-like.

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Income statement supporting analysis

Revenue trends (1) – By entity

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The table below presents the revenue composition by entity for FY17, FY18 and TTM Jun-19. GAES and GADW generated 50.5% and 37.1% respectively of the total revenue in TTM Jun-19. The remaining 12.4% was generated by WIWM.

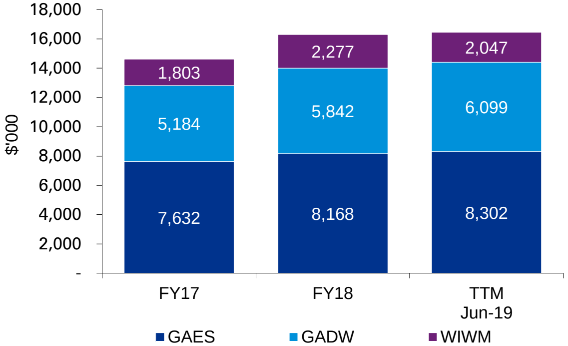
Revenue by entity

$'000	FY17	FY18	TTM Jun-19	As % of the total FY17	As % of the total FY18	As % of the total TTM Jun-19
GAES	7,632	8,168	8,302	*52.2%*	*50.2%*	*50.5%*
GADW	5,184	5,842	6,099	*35.5%*	*35.9%*	*37.1%*
WIWM	1,803	2,277	2,047	*12.3%*	*14.0%*	*12.4%*
Total	**14,620**	**16,286**	**16,449**	***100.0%***	***100.0%***	***100.0%***
Reconciliation to the P&L						
Deposits	253	268	275			
Prebilling earned	556	677	782			
Year-end adjustment	90	(90)	-			
Unreconciled difference	(156)	(164)	(180)			
Revenue per P&L	**15,673**	**17,305**	**17,685**			

Source: Management provided information, KPMG analysis

Revenue by entity per the revenue data provided differs slightly from the P&L due to reconciling items (primarily deposits and prebillings) that are not allocated to each entity. We have included a reconciliation to the P&L for completeness; refer to the aside commentary for further details.

Revenue composition by entity



Source: Management provided information, KPMG analysis

Overview

- **GAES:** Revenue increased from $7.63 million in FY17 to $8.30 million in TTM Jun-19. GAES is made up of five transfer stations (four owned and one are operated on behalf of the Dickinson County), one recycling facility, two shops and two storage facilities.
  - The Top 10 customers contributed $2.94 million (32.8%) of total revenue in TTM Jun-19. Included within the Top 10 customers was Dickinson County ($993,000), Schneider's Iron and Metal ($280,000), City of Iron Mountain ($491,000), Verso Paper Corporation ($225,000), Breitung Township ($194,000), City of Negaunee ($175,000) and Neenah Paper ($165,000).
- **GADW:** Revenue increased from $5.18 million in FY17 to $6.10 million in TTM Jun-19. GADW operates a transfer station on behalf of Brown County, in addition to servicing residential and commercial routes in the Wisconsin area.
  - Brown County is the most significant customer of GADW, contributing $2.58 million in revenue in TTM Jun-19 (39.87%).
- **WIWM:** Revenue increased from $1.80 million in FY17 to $2.05 million in TTM Jun-19. The WIWM landfill receives waste from external customers and from affiliate entities (i.e. GAES and GADW).
  - This increase in revenue was driven by an increase in waste deposited from affiliated entities from $1.07 million from FY17 to $1.3 million in TTM Jun-19.
  - Revenue did decrease however from FY18 to TTM Jun-19, which was primarily driven by a decrease in revenue from external customers.
- **Reconciliation to the P&L:** The Company uses Waste Accounting Management (WAM) software for billings, routing and operations. The revenue data presented in the following pages is sourced from WAM. We have identified reconciling items to the P&L, described below:
  - *Deposits:* Cash payments from third party customers to dump waste (primarily scrap metal) at the landfill.
  - *Prebilling:* Relates to revenue collected in advance for services to be rendered, less the earned portion in each period.
  - *Unreconciled difference:* Amounts to less than 1% of total revenue in each period, considered immaterial for the purposes of this analysis.

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Revenue trends (2) - By customer (1)

The table below presents the revenue composition by customer for FY17, FY18 and TTM Jun-19. Brown County and Dickinson County are unique arrangements whereby the Company operates each transfer station on behalf of the respective County.

Revenue by customer

$'000	Entity	FY17	FY18	TTM Jun-19	As % of the total FY17	FY18	TTM May-19
Brown County	GADW	2,446	2,677	2,582	16.7%	16.4%	15.7%
Intercompany transactions	Multiple	1,042	1,389	1,262	7.1%	8.5%	7.7%
Dickinson County	GAES	920	952	993	6.3%	5.8%	6.0%
Schneider's Iron & Metal	GAES	440	646	605	3.0%	4.0%	3.7%
Neenah Paper	GAES	552	569	484	3.8%	3.5%	2.9%
City of Iron Mountain	GAES	464	486	491	3.2%	3.0%	3.0%
Verso Paper Corporation	GAES	185	223	225	1.3%	1.4%	1.4%
Breitung Township	GAES	186	208	194	1.3%	1.3%	1.2%
City of Negaunee	GAES	158	173	175	1.1%	1.1%	1.1%
City of Iron River	GAES	168	165	168	1.1%	1.0%	1.0%
Au Train Township	GAES	133	144	134	0.9%	0.9%	0.8%
Chocolay Township	GAES	107	112	113	0.7%	0.7%	0.7%
Grede Foundry	GAES	123	127	112	0.8%	0.8%	0.7%
Immel Construction	GADW	66	109	104	0.5%	0.7%	0.6%
Econofoods	GAES	44	100	102	0.3%	0.6%	0.6%
City of Niagara	GAES	113	108	100	0.8%	0.7%	0.6%
City of Oconto Falls	GADW	85	88	90	0.6%	0.5%	0.5%
Ishpeming Township	GAES	88	88	89	0.6%	0.5%	0.5%
Rubicon Global	GAES	59	74	72	0.4%	0.5%	0.4%
Town of Florence	GAES	64	68	69	0.4%	0.4%	0.4%
Top 20		7,443	8,506	8,164	50.9%	52.2%	49.6%
Other	Multiple	7,176	7,780	8,285	49.1%	47.8%	50.4%
Total		**14,620**	**16,286**	**16,449**	**100.0%**	**100.0%**	**100.0%**

Reconciliation to the P&L			
Deposits	253	268	275
Prebilling earned	556	677	782
Year-end adjustment	90	(90)	-
Unreconciled difference	(156)	(164)	(180)
Revenue per P&L	**15,673**	**17,305**	**17,685**

Source: Management provided information, KPMG analysis

Brown County (serviced by GADW)

Description	Solid waste transfer station operation and hauling
Financial overview	Revenue increased from $2.45 million in FY17 to $2.58 million in TTM Jun-19. Represents 15.7% of combined revenue (42.9% of GADW revenue) in TTM Jun-19.
Term	5 year term (February 1, 2014 to January 31, 2019). Management represents that they are currently negotiating a subsequent five year term.
Scope of work	Operate and supervise the dumping of waste at the transfer station, compact the waste into haul vehicles and transport to the landfill, as well as general upkeep of the transfer station.
Work by County	County will provide the transfer station (including all equipment), permits, and pay for utilities, overhead, repairs and maintenance, etc.

Dickinson County (serviced by GAES)

Description	Solid waste processing facility and transfer station operation
Financial overview	Revenue increased from $920,000 in FY17 to $993,000 in TTM Jun-19. Represents 6% of combined revenue (12% of GAES revenue) in TTM Jun-19.
Term	10 year term (July 1, 2016 to June 30, 2026) with option for extension for additional 10 year term(s).
Scope of work	Includes (i) transportation and disposal of municipal and commercial solid waste processed at the Solid Waste Processing Facility (SWPF), (ii) operating the SWPF and recycling, yard waste disposal and household hazardous waste disposal programs, and (iii) acquiring/constructing and operating a transfer station on the County property.
Work by County	Not specifically mentioned within the contract provided, however Management represents a similar arrangement as with Brown County, outlined above.

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Revenue trends (3) - By customer (2)

The table below presents the revenue composition by customer for FY17, FY18 and TTM Jun-19. The top 20 customers (including Brown County and Dickinson County) accounted for 49.6% of total combined TTM Jun-19 revenue.

Revenue by customer

$'000	Entity	FY17	FY18	TTM Jun-19	As % of the total FY17	FY18	TTM May-19
Brown County	GADW	2,446	2,677	2,582	*16.7%*	*16.4%*	*15.7%*
Intercompany transactions	Multiple	1,042	1,389	1,262	*7.1%*	*8.5%*	*7.7%*
Dickinson County	GAES	920	952	993	*6.3%*	*5.8%*	*6.0%*
Schneider's Iron & Metal	GAES	440	646	605	*3.0%*	*4.0%*	*3.7%*
Neenah Paper	GAES	552	569	484	*3.8%*	*3.5%*	*2.9%*
City of Iron Mountain	GAES	464	486	491	*3.2%*	*3.0%*	*3.0%*
Verso Paper Corporation	GAES	185	223	225	*1.3%*	*1.4%*	*1.4%*
Breitung Township	GAES	186	208	194	*1.3%*	*1.3%*	*1.2%*
City of Negaunee	GAES	158	173	175	*1.1%*	*1.1%*	*1.1%*
City of Iron River	GAES	168	165	168	*1.1%*	*1.0%*	*1.0%*
Au Train Township	GAES	133	144	134	*0.9%*	*0.9%*	*0.8%*
Chocolay Township	GAES	107	112	113	*0.7%*	*0.7%*	*0.7%*
Grede Foundry	GAES	123	127	112	*0.8%*	*0.8%*	*0.7%*
Immel Construction	GADW	66	109	104	*0.5%*	*0.7%*	*0.6%*
Econofoods	GAES	44	100	102	*0.3%*	*0.6%*	*0.6%*
City of Niagara	GAES	113	108	100	*0.8%*	*0.7%*	*0.6%*
City of Oconto Falls	GADW	85	88	90	*0.6%*	*0.5%*	*0.5%*
Ishpeming Township	GAES	88	88	89	*0.6%*	*0.5%*	*0.5%*
Rubicon Global	GAES	59	74	72	*0.4%*	*0.5%*	*0.4%*
Town of Florence	GAES	64	68	69	*0.4%*	*0.4%*	*0.4%*
Top 20		7,443	8,506	8,164	*50.9%*	*52.2%*	*49.6%*
Other	Multiple	7,176	7,780	8,285	*49.1%*	*47.8%*	*50.4%*
Total		**14,620**	**16,286**	**16,449**	***100.0%***	***100.0%***	***100.0%***

Reconciliation to the P&L	FY17	FY18	TTM Jun-19
Deposits	253	268	275
Prebilling earned	556	677	782
Year-end adjustment	90	(90)	-
Unreconciled difference	(156)	(164)	(180)
Revenue per P&L	**15,673**	**17,305**	**17,685**

Source: Management provided information, KPMG analysis

Includes 6619 customers that contributed approximately half (50.4%) of total revenue in TTM Jun-19. The remaining balance is generated by the Top 20 customers, as outlined above.

Overview

- **Intercompany revenue:** Represents revenue recorded by WIWM for the disposal of waste by GAES and GADW at the landfill.
- **Schneider's Iron & Metal:** Represented 3.7% of the total revenue in TTM Jun-19. The Company services this client out of the GEAS entity and hauls commercial waste (e.g. non-recyclable scrap material). Management represents that these is no written contract with this client.
- **Neenah Paper:** Contributed $484,000 in TTM Jun-19. Customer is a paper company located in the Munising, Michigan and is serviced out of the GAES location. Types of waste collected from this location consist of wood ash and sludge.
- **City of Iron Mountain:** Consisted of $491,000 (or 3.0% of total revenue) in TTM Jun-19. GAES provides hauling services for residential and curb side waste.
- **Verso Paper Corporation:** Paper company located in Dickinson County, Michigan. Represented 1.4% of total revenue in TTM Jun-19.
- **Breitung Township:** Represented 1.2% of total sales in TTM Jun-19. Management represents that they are currently renegotiating a new contract with this customer.

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Revenue trends (4) - By type

The table below presents the revenue composition by type for FY17, FY18 and TTM Jun-19. Roll off and Commercial disposal generated 40.6% and 33.1% respectively of the total revenue in TTM Jun-19.

Revenue by type				As % of the total		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Roll off	5,997	6,642	6,673	*41.0%*	*40.8%*	*40.6%*
Commercial	4,642	5,183	5,441	*31.7%*	*31.8%*	*33.1%*
Residential	2,201	2,323	2,285	*15.1%*	*14.3%*	*13.9%*
Landfill	1,160	1,495	1,387	*7.9%*	*9.2%*	*8.4%*
Municipal	370	391	395	*2.5%*	*2.4%*	*2.4%*
On call	233	222	215	*1.6%*	*1.4%*	*1.3%*
Recycling	13	27	53	*0.1%*	*0.2%*	*0.3%*
Other	3	5	0	*0.0%*	*0.0%*	*0.0%*
Total	**14,620**	**16,286**	**16,449**	***100.0%***	***100.0%***	***100.0%***

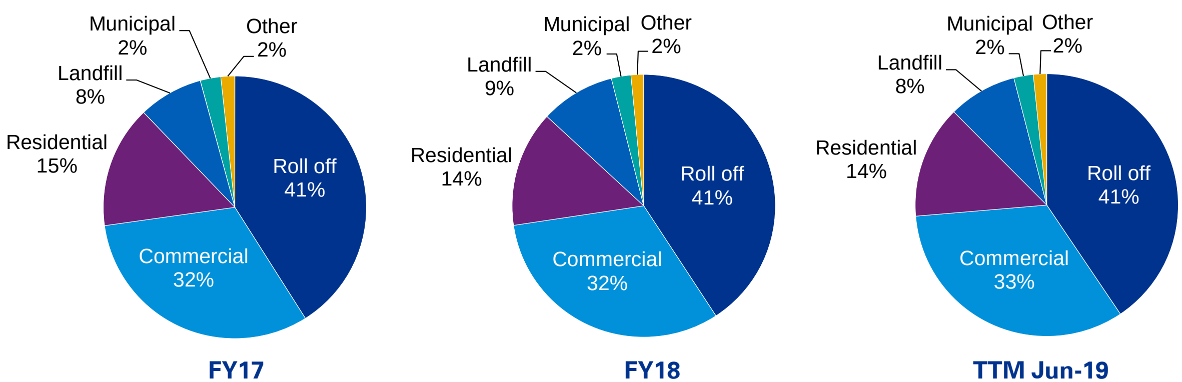
Reconciliation to the P&L			
Deposits	253	268	275
Prebilling earned	556	677	782
Year-end adjustment	90	(90)	-
Unreconciled difference	(156)	(164)	(180)
Revenue per P&L	**15,673**	**17,305**	**17,685**

Source: Management provided information, KPMG analysis

Overview

- **Roll off revenue:** Increased $676,000 from $6 million in FY17 to $6.67 million in TTM Jun-19. Contributing to this increase was Schneider's ($166,000), Brown County ($136,000) and several other smaller customer increases.
- **Commercial revenue:** Increased $799,000 from $4.64 million in FY17 to $5.44 million in TTM Jun-19. No one customer in specific drove this increase; rather it was realized through steady growth over the historical period from a commercial customer base of 2,000+ customers.
- **Residential revenue:** Increased $83,000 from $2.2 million in FY17 to $2.29 million in TTM Jun-19. Residential services has remained a relatively steady stream of revenue over the historical period.
- **Landfill revenue:** Represents dumping fees charged at the Wood Island landfill. Note that these annual balances are understated by customers who are captured in the other revenue groups. Namely, Neenah Paper, Schneider's Iron & Metal and Smith Castings.

Revenue by type



Source: Management provided information, KPMG analysis
Note (1): For the purposes of presentation, 'Other' revenue includes On Call, Recycling and Other.

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Gross margin analysis

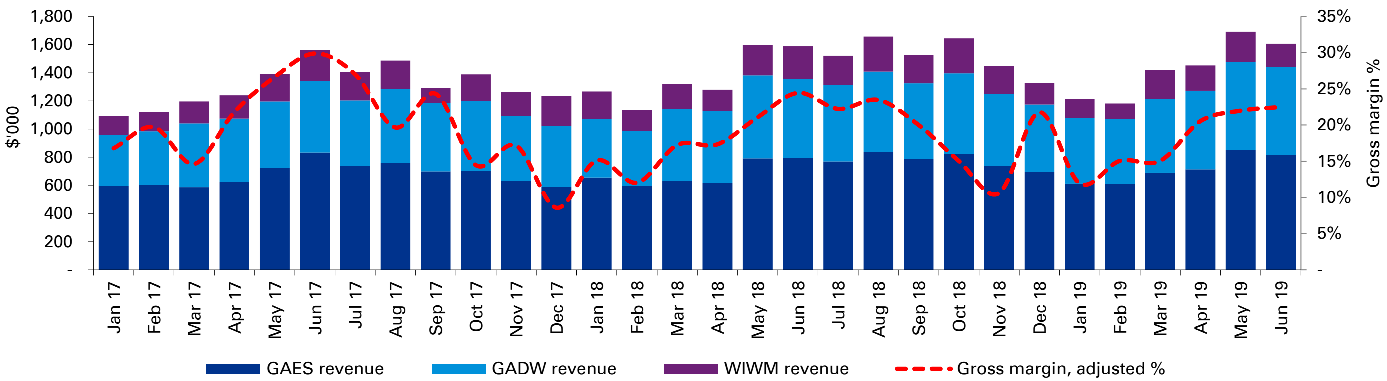
The analysis below represents the gross margin across the three entities and revenue seasonality.

Gross margin analysis, reported

	GAES			As a % of revenue			GADW			As a % of revenue			WIWM			As a % of revenue			Combined			As a % of revenue		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Revenue	8,081	8,736	8,944	*100.0%*	*100.0%*	*100.0%*	5,497	6,191	6,475	*100.0%*	*100.0%*	*100.0%*	2,096	2,378	2,266	*100.0%*	*100.0%*	*100.0%*	15,673	17,305	17,685	*100.0%*	*100.0%*	*100.0%*
Landfill expenses	(1,885)	(2,023)	(2,043)	*(23.3%)*	*(23.2%)*	*(22.8%)*	(875)	(1,052)	(1,250)	*(15.9%)*	*(17.0%)*	*(19.3%)*	(241)	(422)	(368)	*(11.5%)*	*(17.7%)*	*(16.2%)*	(3,001)	(3,497)	(3,660)	*(19.1%)*	*(20.2%)*	*(20.7%)*
Fuel expense	(711)	(911)	(885)	*(8.8%)*	*(10.4%)*	*(9.9%)*	(582)	(767)	(774)	*(10.6%)*	*(12.4%)*	*(11.9%)*	(166)	(238)	(200)	*(7.9%)*	*(10.0%)*	*(8.8%)*	(1,460)	(1,916)	(1,858)	*(9.3%)*	*(11.1%)*	*(10.5%)*
Employee expenses	(3,109)	(3,204)	(3,417)	*(38.5%)*	*(36.7%)*	*(38.2%)*	(1,984)	(2,211)	(2,296)	*(36.1%)*	*(35.7%)*	*(35.5%)*	(486)	(680)	(659)	*(23.2%)*	*(28.6%)*	*(29.1%)*	(5,579)	(6,094)	(6,372)	*(35.6%)*	*(35.2%)*	*(36.0%)*
Other cost of sales	(1,173)	(1,301)	(1,342)	*(14.5%)*	*(14.9%)*	*(15.0%)*	(741)	(784)	(932)	*(13.5%)*	*(12.7%)*	*(14.4%)*	(492)	(457)	(491)	*(23.5%)*	*(19.2%)*	*(21.7%)*	(2,406)	(2,542)	(2,766)	*(15.4%)*	*(14.7%)*	*(15.6%)*
Gross margin	**1,203**	**1,298**	**1,257**	***14.9%***	***14.9%***	***14.1%***	**1,314**	**1,377**	**1,223**	***23.9%***	***22.2%***	***18.9%***	**711**	**581**	**548**	***33.9%***	***24.4%***	***24.2%***	**3,227**	**3,256**	**3,028**	***20.6%***	***18.8%***	***17.1%***
Operating expenses	(1,136)	(1,163)	(1,150)	*(14.1%)*	*(13.3%)*	*(12.9%)*	(1,231)	(1,229)	(1,292)	*(22.4%)*	*(19.9%)*	*(20.0%)*	(907)	(2,025)	(2,117)	*(43.3%)*	*(85.2%)*	*(93.4%)*	(3,274)	(4,417)	(4,559)	*(20.9%)*	*(25.5%)*	*(25.8%)*
Other income / (expense)	(47)	(46)	(67)	*(0.6%)*	*(0.5%)*	*(0.7%)*	(74)	(126)	(178)	*(1.3%)*	*(2.0%)*	*(2.7%)*	30	12	58	*1.4%*	*0.5%*	*2.6%*	(92)	(159)	(187)	*(0.6%)*	*(0.9%)*	*(1.1%)*
Net income	19	90	40	*0.2%*	*1.0%*	*0.4%*	9	22	(247)	*0.2%*	*0.4%*	*(3.8%)*	(167)	(1,431)	(1,511)	*(8.0%)*	*(60.2%)*	*(66.7%)*	(138)	(1,319)	(1,717)	*(0.9%)*	*(7.6%)*	*(9.7%)*
EBITDA, reported	**628**	**688**	**653**	***7.8%***	***7.9%***	***7.3%***	**833**	**942**	**734**	***15.2%***	***15.2%***	***11.3%***	**577**	**507**	**544**	***27.5%***	***21.3%***	***24.0%***	**2,039**	**2,137**	**1,931**	***13.0%***	***12.3%***	***10.9%***

Source: Management provided information, KPMG analysis

Revenue and Gross margin trends



Source: Management provided information, KPMG analysis

Revenue and Gross margin historical trends:

Waste contracts are typically long-term in nature and services continue year-round. However, revenue and related gross margin increase slightly in the summer months due to activity in the C&D sector.

- On a combined basis, reported gross margin percentage (GM%) decreased from 20.6% in FY17 to 17.1% in TTM Jun-19.
- **GAES:** GM% decreased from 14.9% in FY17 to 14.1% in TTM Jun-19. This is primarily driven by an increase in diesel fuel costs over the same period.
- **GADW:** GM% decreased from 23.9% in FY17 to 18.9% in TTM Jun-19. This is a result of (i) an increase in external landfill charges, and (ii) an increase in diesel fuel costs over the same period.
- **WIWM:** GM% decreased from 33.9% in FY17 to 24.2% in TTM Jun-19. This is a result of (i) an increase in leachate treatment cost due to a delay in cell closure and extreme weather conditions, and (ii) an increase in employees needed to haul the increased leachate and assist with cell construction and closure in FY18 and FY19.

KPMG

Direct expenses and SG&A (1) - Overview

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The table below presents the Company's summary combined Direct and SG&A expenses for FY17, FY18 and TTM Jun-19 on an adjusted basis.

Direct expenses and SG&A, adjusted - Combined (GAES, GADW, WIWM)						
	Combined			As % of revenue		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Landfill expenses	(3,001)	(3,412)	(3,585)	(19.2%)	(19.7%)	(20.3%)
Fuel	(1,460)	(1,874)	(1,826)	(9.3%)	(10.8%)	(10.3%)
Truck maintenance	(1,528)	(1,638)	(1,732)	(9.8%)	(9.5%)	(9.8%)
Equipment maintenance	(486)	(473)	(555)	(3.1%)	(2.7%)	(3.1%)
Supplies	(214)	(238)	(282)	(1.4%)	(1.4%)	(1.6%)
Landfill charges	(165)	(179)	(170)	(1.1%)	(1.0%)	(1.0%)
Other cost of sales	(13)	(14)	(17)	(0.1%)	(0.1%)	(0.1%)
Direct cost of sales	(6,866)	(7,828)	(8,167)	(43.9%)	(45.2%)	(46.2%)
Salaries and wages	(4,089)	(4,481)	(4,683)	(26.1%)	(25.9%)	(26.5%)
Insurance	(899)	(936)	(903)	(5.7%)	(5.4%)	(5.1%)
Employment taxes	(341)	(370)	(380)	(2.2%)	(2.1%)	(2.1%)
Other employee costs	(34)	(37)	(42)	(0.2%)	(0.2%)	(0.2%)
Employee benefits	(52)	(51)	(51)	(0.3%)	(0.3%)	(0.3%)
Direct employee costs	(5,416)	(5,875)	(6,059)	(34.6%)	(33.9%)	(34.3%)
Cost of sales & employee costs	(12,282)	(13,703)	(14,226)	(78.5%)	(79.2%)	(80.4%)
Insurance	(311)	(298)	(323)	(2.0%)	(1.7%)	(1.8%)
Licenses and fees	(157)	(195)	(207)	(1.0%)	(1.1%)	(1.2%)
Utilities	(164)	(180)	(184)	(1.0%)	(1.0%)	(1.0%)
Rent	(228)	(228)	(228)	(1.5%)	(1.3%)	(1.3%)
Contracted services	(143)	(124)	(117)	(0.9%)	(0.7%)	(0.7%)
Office supplies	(77)	(89)	(91)	(0.5%)	(0.5%)	(0.5%)
Bond/letter of credit	(68)	(75)	(76)	(0.4%)	(0.4%)	(0.4%)
Property tax	(56)	(65)	(65)	(0.4%)	(0.4%)	(0.4%)
Other operating expenses	(39)	(46)	(59)	(0.2%)	(0.3%)	(0.3%)
Bad debts	(23)	(45)	(45)	(0.1%)	(0.3%)	(0.3%)
Legal & professional fees	(25)	(35)	(38)	(0.2%)	(0.2%)	(0.2%)
Other	(80)	(86)	(92)	(0.5%)	(0.5%)	(0.5%)
Operations expenses	(1,370)	(1,465)	(1,524)	(8.8%)	(8.5%)	(8.6%)
Direct expenses and SG&A, adjusted	**(13,652)**	**(15,168)**	**(15,751)**	***(87.2%)***	***(87.7%)***	***(89.1%)***

Source: Management provided information, KPMG analysis

Overview

- Direct cost of sales increased $1.3 million from $6.87 million in FY17 to $8.17 million in TTM Jun-19.
  - **Landfill expenses:** Increased $584,000 from $3.00 million in FY17 to $3.59 million in TTM Jun-19. This is primarily driven by an increase in disposal fees ($533,000) and leachate treatment costs ($51,000).
  - **Fuel cost:** Increased $367,000 from $1.46 million in FY17 to $1.83 million in TTM Jun-19. Primarily driven by an increase in diesel fuel costs ($365,000).
  - **Truck maintenance:** Increased $203,000 from FY17 to TTM Jun-19, however it has remained steady as a percentage of revenue at 9.8% over the same period.
- Direct employee costs increased $643,000 from $5.42 million in FY17 to $6.06 million in TTM Jun-19, while decreasing slightly as a percentage of revenue from 34.6% to 34.3% over the same period.
  - **Salaries and wages:** Increased $594,000 from FY17 to TTM Jun-19. Primarily driven by an increase in direct labor ($347,000). Refer to "Direct expenses and SG&A (2) – Employee costs" for further details.
- On an adjusted basis, SG&A remained stable as a percentage of revenue ranging from 8.5% to 8.8% over the historical period. SG&A expenses increased $154,000 from $1.37 million in FY17 to $1.52 million in TTM Jun-19. This increase was driven by increases in licenses and fees ($50,000), bad debts ($22,000) and utilities ($21,000).

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Direct expenses and SG&A (2) - Employee costs

The table below presents the Company's summary combined employee related expenses and related KPIs for FY17, FY18 and TTM Jun-19 on an adjusted basis.

Employee costs, adjusted - Combined (GAES, GADW, WIWM)

	Combined			As % of revenue		
$'000	FY17	FY18	TTM Jun-19	FY17	FY18	TTM Jun-19
Direct labor	(2,645)	(2,908)	(2,991)	(16.9%)	(16.8%)	(16.9%)
Office salaries	(769)	(754)	(773)	(4.9%)	(4.4%)	(4.4%)
Mechanics wages	(618)	(706)	(803)	(3.9%)	(4.1%)	(4.5%)
Workmans compensation	(329)	(313)	(284)	(2.1%)	(1.8%)	(1.6%)
Management salaries	(54)	(56)	(60)	(0.3%)	(0.3%)	(0.3%)
Salaries and wages	(4,414)	(4,737)	(4,912)	(28.2%)	(27.4%)	(27.8%)
Medical insurance	(562)	(617)	(610)	(3.6%)	(3.6%)	(3.5%)
Medicare taxes	(307)	(335)	(349)	(2.0%)	(1.9%)	(2.0%)
Labor transfer	(4)	(57)	(56)	(0.0%)	(0.3%)	(0.3%)
Other employee related expenses	(128)	(129)	(132)	(0.8%)	(0.7%)	(0.7%)
Employee related expenses	**(5,416)**	**(5,875)**	**(6,059)**	**(34.6%)**	**(33.9%)**	**(34.3%)**
As a % of Employee related expenses						
Medical insurance	10.4%	10.5%	10.1%			
Medicare taxes	5.7%	5.7%	5.8%			
Labor transfer	0.1%	1.0%	0.9%			
Other employee related expenses	2.4%	2.2%	2.2%			
Per employee						
Headcount (Average)	98	99	101			
Salaries and wages per employee	(45)	(48)	(49)			
Employee related expenses per employee	(55)	(59)	(60)			

Source: Management provided information, KPMG analysis

Overview

- Salaries and wages increased $643,000 from $5.42 million in FY17 to $6.06 million in TTM Jun-19, while the balance remained relatively consistent as a percentage of revenue over the same period.
- Combined average headcount for GAES, GADW and WIWM increased from 98 employees in FY17 to 101 employees in TTM Jun-19. Management represents that the current staffing level is sufficient to sustain ongoing operations. Further Management has confirmed that no key positions are currently vacant.
- Other employee related expenses is comprised of uniforms, state unemployment, medical expenses, federal unemployment, employee benefits, education & training, and safety training.

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Direct expenses and SG&A (3) - Vehicles costs

The table below presents the Company's summary combined Vehicle expenses for FY17, FY18 and TTM Jun-19 on an adjusted basis.

Vehicle expenses, adjusted - Combined (GAES, GADW, WIWM)

	Combined			*As % of revenue*		
$'000	**FY17**	**FY18**	**TTM Jun-19**	**FY17**	**FY18**	**TTM Jun-19**
Diesel Fuel	(1,451)	(1,867)	(1,815)	*(9.3%)*	*(10.8%)*	*(10.3%)*
Gas	(17)	(19)	(17)	*(0.1%)*	*(0.1%)*	*(0.1%)*
Fuel Tax	9	12	6	*0.1%*	*0.1%*	*0.0%*
Truck fuel	(1,460)	(1,874)	(1,826)	*(9.3%)*	*(10.8%)*	*(10.3%)*
Truck maintenance	(1,058)	(1,109)	(1,212)	*(6.8%)*	*(6.4%)*	*(6.9%)*
Truck tires	(353)	(373)	(354)	*(2.3%)*	*(2.2%)*	*(2.0%)*
Oil expense	(92)	(94)	(109)	*(0.6%)*	*(0.5%)*	*(0.6%)*
Road & grade maintenance	(6)	(37)	(23)	*(0.0%)*	*(0.2%)*	*(0.1%)*
Towing expense	(19)	(26)	(32)	*(0.1%)*	*(0.2%)*	*(0.2%)*
Hauling expense	-	(0)	(2)	*-*	*(0.0%)*	*(0.0%)*
Vehicle expenses	**(2,988)**	**(3,512)**	**(3,558)**	***(19.1%)***	***(20.3%)***	***(20.1%)***

Source: Management provided information, KPMG analysis

Overview

- The Company has an active fleet of *[...]* vehicles primarily consisting of *[...]*. Refer to Appendix 7 for the fleet aging profile and related analysis.
- Vehicle related expenses increased from *[...]* per vehicle in FY17 to *[...]* per vehicle in TTM Jun-19. This is largely driven by an increase in fuel cost from $1.45 million in FY17 to $1.82 million in TTM Jun-19. Refer to "Fuel costs" for an analysis of historical fuel expenses.
- The Company implemented a fuel surcharge of 5% to partially absorb the increase in diesel fuel prices.

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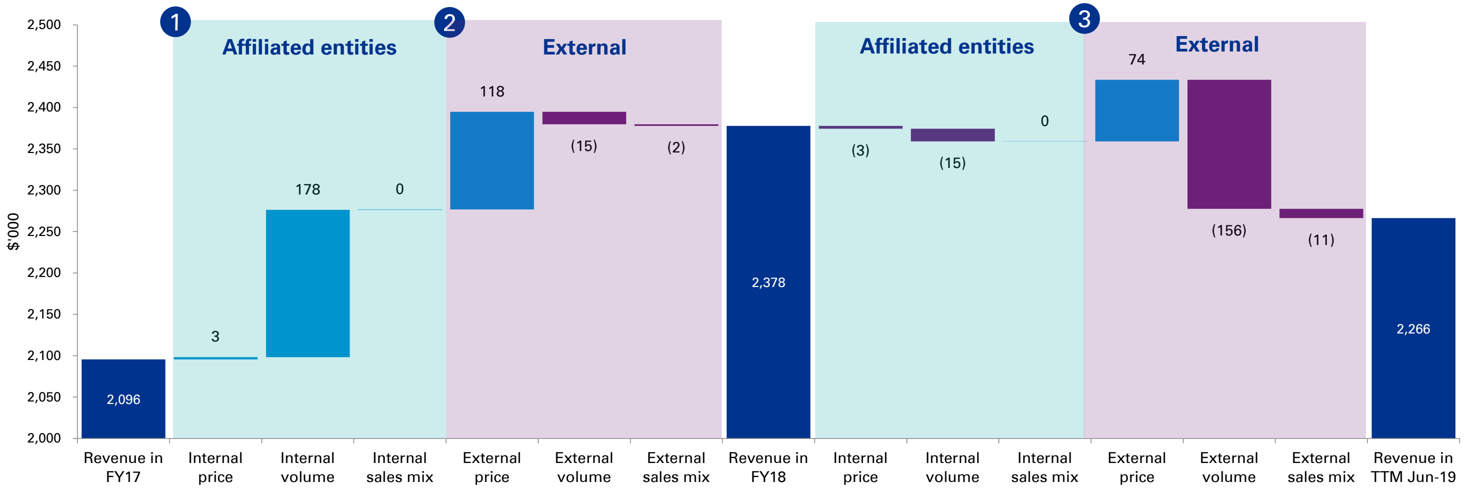
Landfill price-volume analysis

Presented below is a revenue bridge from FY17 to TTM Jun-19, delineated by price and volume contributions over the same period, and further broken down by counterparty (i.e. affiliated entities and third party). External price per ton increased from $39.33 in FY17 to $47.43 in TTM Jun-19.

Price-volume analysis



Source: Management provided information; KPMG analysis

Waste volume analysis

$'000	FY17	FY18	TTM Jun-19
Total revenue (landfill)	2,096	2,378	2,266
Total volume deposited*	66	72	68
Revenue per ton	**31.83**	**33.06**	**33.41**
Waste volume from affiliated entities			
Revenue from affiliated entities ($'000)	1,156	1,337	1,318
Waste deposited from affiliated entities (tons)	42	48	48
Revenue per ton from affiliated entities	**27.56**	**27.62**	**27.55**
Waste volume from third parties			
Revenue from third parties ($'000)	940	1,041	948
Waste deposited from third parties (tons)	24	24	20
Revenue per ton from third parties	**39.33**	**44.27**	**47.43**

Source: Management provided information; KPMG analysis
**Note: Includes all types of waste deposited (i.e. commercial, residential, etc.).*

Overview

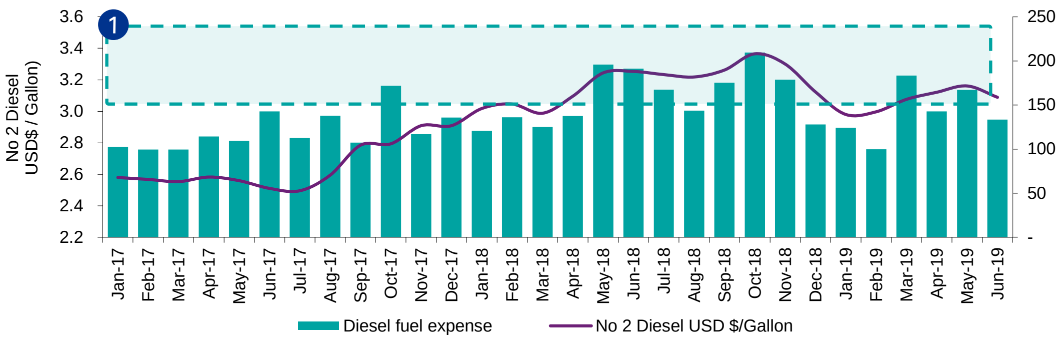
1. Revenue from affiliated entities (intercompany) increased $181,000 from FY17 to FY18. This was mainly driven from volume increase (from 42 tons in FY17 to 48 tons in FY18). Price per ton for affiliated entities remained relatively stable over this period.
2. Revenue from third parties increased $101,000 from FY17 to FY18. This was mainly due to an increase in price per ton from $39.33 in FY17 to $44.27 in FY18. Volume from third parties remained relatively stable over this period.
3. Revenue from third parties decreased 93,000 from FY18 to TTM Jun-19. This was due to a decrease in volume, which had a revenue impact of ($156,000) over the same period.

Supporting analysis

Fuel costs

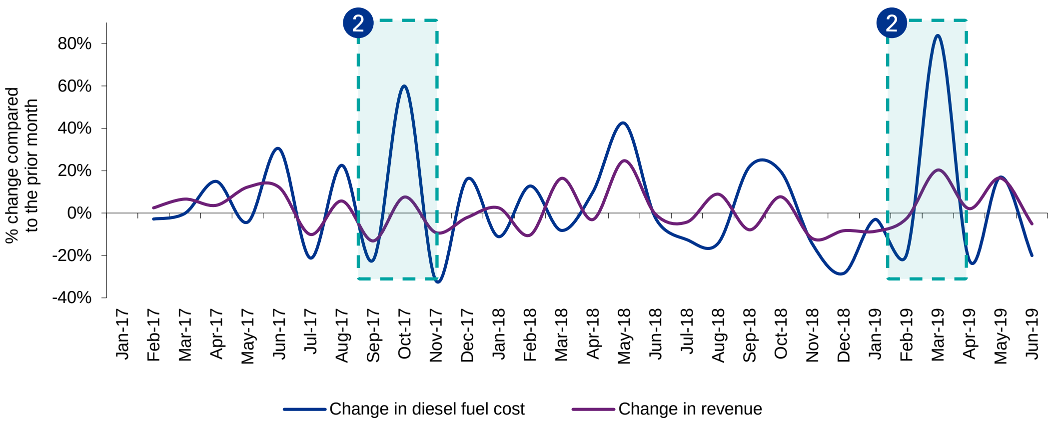
The analysis below presents fuel costs in comparison to revenue, and the Company's ability to pass-through these costs to the end customer. Reported fuel costs increased as a percentage of revenue from 9.3% ($1.46 million) in FY17 to 10.5% ($1.83 million) in TTM Jun-19, on a combined basis.

Diesel fuel cost historical fuel expense – Combined (GAES, GADW, WIWM)



Source: Management provided information; KPMG analysis
Source (2): U.S. Energy Information Administration, Independent Statistics and Analysis

Diesel fuel cost and revenue analysis – Combined (GAES, GADW, WIWM)



Source: Management provided information; KPMG analysis

Overview

1. This graph maps historical diesel fuel prices per gallon to the Company's diesel fuel expenses over the historical period. Given the rising diesel fuel costs, the Company implemented a 5% fuel surcharge to all customers in FY16. Monthly fuel costs follow the same trend as the Company's expense, except in months where fuel costs surpass the surcharge and the Company is forced to absorb the incremental costs.

- Fuel prices (i.e. U.S. No 2 Diesel) increased over the historical period, fluctuating between the $2.50 to $3.37 per gallon (with an average of $2.95) from January 2017 to June 2019.

2. Fuel costs increased 60% from September 2017 to October 2017, while revenue increased 7.6% over the same period. Fuel costs increased 84% from February 2019 to March 2019, while revenue increased 20.4% over the same period. Both of these instances were driven by an increase in fuel price and an increase in volume, partially driven by internal activities (e.g. cell construction and closure).

Incremental standalone costs

Assumptions and limitations

Purpose

The standalone analysis provides an overview of the estimated incremental run-rate costs to operate the Target businesses independent of Loadmaster.

Approach

KPMG has worked with management to review the allocation of costs and performed an independent analysis of the requirements of the standalone using a bottom-up approach with supporting benchmarks. The observations and views presented in this report are based on the following key sources of information:

- Meetings with Management team from the Seller (i.e. Controller, etc.)
- Documentation provided by Management via data room (e.g., Allocation workbooks, HR census file, vendor contracts, etc.)
- Industry benchmarks of key operational metrics
- Trailing twelve month June 2019 (TTM Jun-19) and Fiscal year 2018 (FY18) period financials

Assumptions & limitations

The underlying analysis, observations, and views presented in this report are based on the following core assumptions about the business:

- Fully standalone – business will operate on a fully standalone basis without any support from Seller, post separation
- Incremental FTEs – the compensation of all incremental FTEs is estimated based on available salary data and benchmarks
- Current allocation of FTEs are not indicative of the transaction perimeter and should be considered as part of a buyer's overall analysis
- Not all FTEs and assets in the cost base are assumed to transfer post transaction. A buyer should consider the transaction perimeter as part of their overall analysis of the transaction.
- The Target entity will operate as a private company
- Potential synergies may exist but have not been considered for any specific potential buyer
- All existing dedicated agreements will be re-assigned to Buyer or be re-negotiated to ensure continuity of operations
- Intercompany transactions with other subsidiaries of the Seller are executed at arm's length with prices at fair market value
- Only the TTM Jun-19 and FY18 periods are considered in the analysis, as the cost base in previous years are out of scope
- Estimated incremental standalone costs are subjective in nature and based on historical information. Thus, run-rate costs may differ depending on future volumes, growth, etc.
- Corporate allocations may not be reflective of actual costs required to support the Target businesses due to allocation methodology used and therefore have been adjusted
- One-time costs have not been considered in this report as these may vary based on each individual buyer and their respective strategy.
- Analysis is based on limited time with restricted Management team members. Estimates may be refined with additional time and more access to additional Management team members.
- Overall contingency of 15% has been applied due to uncertainty involved during this stage of diligence and level of risk associated with restrictions in access to Management and data.
- The analysis has been structured on a "low", "high" and "base" case basis in order to incorporate the full potential range of run-rate costs. The low case and high case represents minimum and maximum estimated incremental costs, respectively. The base case represents the best estimate of the estimated incremental costs.

Incremental standalone costs- Overview

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It is estimated that $232,000 of incremental costs, in the base case, may be incurred to operate the business as a standalone entity post transaction.

The estimated incremental costs arise from the following areas:

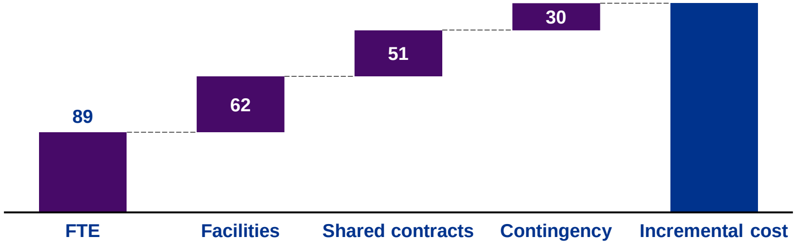
- **FTE: $58,000 to $136,000 from incremental FTEs;**
- **Facilities: $41,000 to $99,000 for new office space;**
- **Shared Contracts: $4,000 to $99,000 for diseconomies of scale on indirect contracts; and**
- **Contingency: A contingency of 15% has been applied resulting in an additional $15,000 to $50,000.**

Incremental Cost Summary

$'000	Low case	High case	Base case
FTE	58	136	89
Facilities	41	99	62
Shared Contracts	4	99	51
Total (excl. contingency)	102	334	202
Contingency	15	50	30
Total (incl. contingency)	**117**	**384**	**232**

Source: Management provided information, KPMG analysis

Incremental cost – Base case



Source: Management provided information, KPMG analysis

Overview

- It is estimated that incremental costs of $232,000 in annual run-rate costs, in the base case, may be incurred by the business post transaction. These costs are incremental to the current cost base of the business and are driven by the following:
  - **FTE**: It is estimated that the business may require an additional $89,000 (three FTE), in the base case, related to FTEs in the administrative office that currently support the business but are not allocated to the business, as well as benefits for two FTEs that regularly perform repair work for business.
  - **Facilities**: In addition to the FTE additions, it is estimated that an additional $62,000, in the base case, related to rent and other facilities related costs are required for office space for the administrative staff.
  - **Shared Contracts:** An estimated $51,000, in the base case, in additional costs related to disynergies on third party shared service contracts may be incurred post transaction. These contracts are predominantly related to indirect spend such as payroll, insurance, accounting software, and others.
  - **Contingency**: Due to the limitations outlined in this report and to account for the level of risk and uncertainty involved in the initial stages of diligence, a contingency of 15% has been applied to the incremental standalone cost estimate.

Incremental standalone costs- Details (1)

Breakdown of incremental standalone costs

The following are adjustments related to incremental standalone costs that have been identified:

1. **FTE:** Management noted that some FTEs whose payroll are on Loadmaster payroll regularly perform tasks for the Target entities. It is estimated that an incremental cost of $89,000, which includes salaries, benefits and other employee related costs, may be required to operate the business post transaction. The FTE costs are comprised of:

FTE			
$'000	**Low case**	**High case**	**Base case**
Customer Service	41	87	42
Repairmen benefits	16	16	16
Receptionist / Office Mgr	-	32	30
Total	**58**	**136**	**89**

Source: Management provided information, KPMG analysis

- *Customer Service:* Management notes that there are currently two FTEs, whose salaries are with Loadmaster, that spend half their time on tasks related to the Target entities. In order to replace the existing work, an additional FTE is estimated to be required which may cost an incremental $42,000.
- *Repairmen benefits:* Two Repairmen have regularly performed repair work for the Target businesses and are charged to the business at a rate of $25/hour from Loadmaster. Management notes that a true estimate of their salary and benefits would be an additional $3.94/hour, resulting in $16,000 in annual incremental costs. It is noted that the materials used for the repair work are charged at cost and not expected to incur additional costs.
- *Receptionist:* Administrative employees currently occupy Loadmaster office and may be required to relocate to a separate office. A receptionist/office manager may be required to manage the new office at an estimated cost of $30,000.

2. **Facilities:** A separate administrative office space may be required for the administrative office FTEs that currently reside in the Loadmaster office. It is estimated that annual rent may cost $39,000, in addition to $23,000 for other facilities related costs (e.g. utilities), for an administrative office for the administrative FTEs.

Facilities			
$'000	**Low case**	**High case**	**Base case**
Office rent	27	60	39
Utilities and other	14	39	23
Total	**41**	**99**	**62**

Source: Management provided information, KPMG analysis

3. **Shared Contracts:** Management identified contracts that are utilized by the Target entities that are also shared with Loadmaster. The following contracts have been assessed for diseconomies of scale:

Shared contracts			
$'000	**Low case**	**High case**	**Base case**
Insurance	-	70	35
ADP	1	25	13
Quickbooks	-	1	1
Email	2	3	3
Total	**4**	**99**	**51**

Source: Management provided information, KPMG analysis

- *Insurance:* Insurance for the Target entity is currently shared with Loadmaster. It is estimated that negotiating a new insurance contract may cost an additional $35,000. This includes insurance for First Insurance, property insurance, inland marine insurance, employee dishonesty insurance, and auto insurance.

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Incremental standalone costs- Details (2)

Breakdown of adjustments (continued)

3. **Shared contracts (continued):**

Shared contracts			
$'000	**Low case**	**High case**	**Base case**
Insurance	-	70	35
ADP	1	25	13
Quickbooks	-	1	1
Email	2	3	3
Total	**4**	**99**	**51**

Source: Management provided information, KPMG analysis

- *ADP:* ADP provides HR services to the Target entities and Loadmaster. The services provided includes payroll services, Workforce Now, and time and attendance. It is estimated that ADP charges may increase by $13,000. This is a result of potentially losing the current 40% discount on base rates from ADP. Since, Loadmaster FTEs makes up a significant portion (45.3%) of the total FTEs covered under the ADP contract, a reduction of the current discount has an increased likelihood.
- *Quickbooks:* The businesses, including Loadmaster, utilize Quickbooks as its accounting software. It is estimated that accounting software fees for the Target entities may increase by $500 post transaction to cover the cost of a dedicated license.
- *Email:* Management notes that the administrative staff currently utilize email accounts that are attached to a Loadmaster contract. Post transaction email accounts may need to be setup for the administrative staff. Annual costs related to email is estimated to be $3,000.

Key upsides and risks

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In addition to the standalone considerations quantified in this report, a number of other upsides and considerations may have an impact as a result of the transaction.

Upsides

Topic	Description	Impact	Likelihood
Synergies	This report is based on the business being operated as a standalone entity. Depending on the nature and capabilities of a buyer, there may be an opportunity to generate synergies from operational and/or back-office overlap. These additional synergies are dependent on each individual buyer's situation and is currently out of scope of our analysis.	◑	●

Risks

Topic	Description	Impact	Likelihood
One-time costs	Additional one-time costs incurred by Target entities may include HR costs (recruitment/retention), moving/relocation costs, contract negotiations, bank account setup, IT setup and advisory costs. One-time costs have not been estimated as these may vary based on each individual buyer and is currently out of scope of our analysis.	◑	●
Transaction perimeter	The analysis conducted in this report is from a financial perspective only and is not indicative of what assets will transfer with the business. It is recommended that a buyer assess the people and assets that are included within the transaction perimeter. For example, although the cost of a President is included within the direct P&L of the Target entities, the President may not transfer with the business at deal close. Additional areas should be considered and assessed for impact.	◔	◕
Health Insurance	Management notes that current health insurance is self-insured by the Target entity. Claim deposits are collected and held within the prepaid expense account. A buyer should assess how to administer employee health insurance going forward and if there are any costs of transferring a self-insured program into an outsourced program	◔	◑

Legend
◔ ◑ ◕ ●
LOW → HIGH

Appendices

1. Engagement letter procedures
2. Reconciliation to financial statements – Reviewed and Compiled
3. Combining income statement and balance sheet
4. Adjusted P&L
5. Landfill performance and tonnage
6. Summary of intercompany transactions
7. Fleet aging profile
8. Trade receivables aging
9. Trade payables aging
10. Organizational structure

Engagement Letter procedures (1)

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Unless otherwise noted, our work will concentrate on the Target's financial information for the last two fiscal years along with the most recent available financial information for fiscal 2019 (to analyze the trailing twelve month period).

Summary of Activities

- Read materials provided by you, Target and its advisors. Our focus will primarily be on items with an apparent financial accounting impact.
- Discuss the 2017, and 2018 audit work papers (if available) with Target's independent auditor(s), including the existence of proposed and booked adjustments, internal control issues and Company's management control points;
- Submit written follow-up questions if Target provides an opportunity to do so and read Target's responses to our questions;
- Participate in follow-up calls with Target management team;
- Coordinate our activities with other advisors; and
- Report our findings to you at interim in a one-page Word-based agenda and limited Excel-based analyses and at the completion of the project in a summary PowerPoint based report.

1. **Financial Statement / Accounting Overview** - Understand the Target's financial statement preparation process including:
   - Revenue recognition policy;
   - Basis for cost allocations between sites/segments and parent/affiliates, if any;
   - Significant accounting estimates;
   - Recent or contemplated changes in accounting principles, procedures, or estimates; and
   - Understanding the customer contracting, revenue reporting, billing, and cash recovery.

2. **Quality of Earnings** - Propose potential adjustments to historical earnings before interest, taxes, depreciation, and amortization ("EBITDA") by considering:
   - Normalization adjustments identified by management (e.g. owners' expenses, professional fees, non-recurring consulting fees, etc.);
   - The impact of significant won or lost customers contracts;
   - The impact of related party transactions, if any;
   - The impact of provisions, management estimates, or adjusting entries on the reported results;
   - Large, unusual or non-recurring events or transactions that may have distorted results;
   - Non-cash items such as provisions or management estimates on the reported results; and
   - Other potential items discovered in the due diligence.

3. **Combined financials** – Obtain financials for each company and perform the following:
   - Present combined common-sized financial statements of the three affiliate companies; and
   - Understand the impact of related party transactions amongst the three companies.

4. **Sales and Profitability Trends** - Discuss with management to gain an understanding of the major trends in sales and profitability specifically addressing the following:
   - Revenue, volume and profitability by i) entity, and ii) type;
   - Impact of seasonality, if any;
   - Pricing and volume metrics; and
   - Major customer wins and losses.

5. **Other Financial Performance Drivers** - Obtain and read information to support the relevance of the information provided in the data room including:
   - Trends for key components within reported operating expenses;
   - Administration expenses;
   - Employee compensation and related costs by function;
   - Key revenue and expense line items to relevant performance indicators (e.g. landfill revenue and costs per tons received, etc.);
   - Fleet costs (i.e. fuel, repair, driver cost, insurance, leased versus owned);
   - Unusual and extraordinary items; and
   - General income statement fluctuations.

6. **Working Capital** - Obtain details of the Company's historical monthly working capital and inquire about:
   - Working capital composition (including analysis of accounts receivable, prepaid expenses, accounts payable, and accrued liabilities);
   - Potential adjustments that may impact historical working capital trends (e.g. change in payment terms and/or one-off/non-recurring items); and
   - Seasonality and behavior of working capital.
   - Obtain and read an analysis of Target's accounts receivable and inquire about:
     - Trade and non-trade balances;
     - Aging analysis and turnover analysis; and,
     - Allowance for uncollectible accounts and write-offs.
   - Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:
     - Accounts payable aging and days outstanding;
     - Accrued liabilities;
     - Other current and non-current liabilities.

7. **Capital expenditure and fixed assets** – Obtain and read an analysis of historic and future capital cost requirements including:
   - Maintenance versus growth capital expenditures;
   - Other historical, deferred, and planned capital expenditures;
   - Historical replacement cycle and costs;
   - Average fleet life;
   - Impairment write-downs and other issues; and
   - Comment on carrying amount of PP&E and depreciation policy.

8. **Commitments and Contingencies** – Inquire about significant commitments / contingent liabilities including:
   - Committed capital expenditures, including recent monthly spending versus budget;
   - Off-balance sheet liabilities;
   - Purchase commitments;
   - Operating and capital leases;
   - Incentive compensation and employee benefit obligations;
   - Expected or contingent liabilities (e.g. environmental, litigation, regulatory and tax); and
   - Pending or threatened litigation or investigations.

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Engagement Letter procedures (2)

9. **Net Debt / Debt-Like items**
   - Summarize and comment on net debt items presented by management and other potential debt-like items that fall within the transaction perimeter, including Asset Retirement Obligation and other potential environmental liabilities.

10. **Audit Working Papers (if required)** - Obtain and read audit working papers for the last two fiscal years and perform the following:
    - Discuss any significant audit issues with the auditors;
    - Inquire of the auditors about the existence of any disagreements with management, major risk areas, internal control weaknesses, instances of fraud and the internal control environment;
    - Comment on the nature and volume of audit differences (recorded and unrecorded), use of accounting estimates, any changes in accounting policies or methods and their implications; and
    - Read management letters/reports prepared by the external auditors.

Reconciliation to financial statements - *Review*

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The tables below present a reconciliation of the internal trial balances of WIWM and GAES to the reviewed financial statements. This review was performed for GAES, WIWM and Loadmaster Corporation (Note Loadmaster Corporation is outside of the transaction perimeter).

Reconciliation to reviewed financial statements - Income statement (GAES, WIWM, and Loadmaster)

	FY17							FY18						
$'000	**GAES**	**WIWM**	**Loadmaster**	**Elim**	**Internal**	**Variance**	**Reviewed**	**GAES**	**WIWM**	**Loadmaster**	**Elim**	**Internal**	**Variance**	**Reviewed**
Revenue	8,081	2,096	14,537	(1,294)	23,419	-	23,419	8,736	2,378	12,728	(1,482)	22,360	-	22,360
Net income	**19**	**(167)**	**279**	**-**	**131**	**-**	**131**	**90**	**(1,431)**	**171**	**-**	**(1,170)**	**-**	**(1,170)**
Depreciation and amortization	(545)	(660)	(270)	-	(1,475)	(136)	(1,340)	(511)	(1,806)	288	-	(2,029)	(770)	(1,259)
Interest expense	(58)	(84)	(88)	-	(231)	1	(231)	(81)	(132)	88	-	(125)	-	(125)

Source: Management provided information; KPMG analysis

Reconciliation to reviewed financial statements - Balance sheet (GAES, WIWM, and Loadmaster)

	31-Dec-17							31-Dec-18						
$'000	**GAES**	**WIWM**	**Loadmaster**	**Elim**	**Internal**	**Variance**	**Reviewed**	**GAES**	**WIWM**	**Loadmaster**	**Elim**	**Internal**	**Variance**	**Reviewed**
Assets	5,516	6,642	6,683	(2,825)	16,017	-	16,017	5,769	6,203	6,685	(2,983)	15,674	(238)	15,912
Liabilities	(2,975)	(4,720)	(5,531)	2,655	(10,571)	-	(10,571)	(3,137)	(5,926)	(5,362)	2,813	(11,612)	238	(11,850)
Equity	(2,541)	(1,922)	(1,152)	170	(5,446)	-	(5,446)	(2,631)	(277)	(1,324)	170	(4,062)	-	(4,062)

Source: Management provided information; KPMG analysis

The amortization of the cell closing costs was excluded in the calculation of amortization and depreciation expense per the reviewed financial statements, which is driving this variance.

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Reconciliation to financial statements - *Compilation*

The table below presents reconciliation of the internal trial balances of GADW to the compiled financial statements. GADW was compiled separately from the review of GAES, WIWM and Loadmaster Corporation.

Reconciliation to compiled financial statements - Income statement (GADW)

	FY17			FY17		
$'000	**Internal**	**Variance**	**Compiled**	**Internal**	**Variance**	**Compiled**
Revenue	5,497	21	5,518	6,191	-	6,191
Operating expenses	(4,183)	-	(4,183)	(4,814)	-	(4,814)
Gross profit	**1,314**	**21**	**1,335**	**1,377**	**-**	**1,377**
Operating expenses	(1,231)	-	(1,231)	(1,229)	(6)	(1,235)
Operating income	83	20	104	148	(6)	142
Interest expense	(101)	-	(101)	(127)	-	(127)
Finance charges	7	-	7	7	-	7
Net income	**(11)**	**20**	**9**	**29**	**(6)**	**22**

Source: Management provided information; KPMG analysis

Reconciliation to compiled financial statements - Balance sheet (GADW)

	31-Dec-17			31-Dec-18		
$'000	**Internal**	**Variance**	**Compiled**	**Internal**	**Variance**	**Compiled**
Assets						
Cash	260	-	260	452	-	452
Accounts receivable	557	-	557	430	-	430
Prepaids	34	-	34	65	-	65
Current assets	851	-	851	947	-	947
Long term assets	2,709	-	2,709	2,495	129	2,623
Total assets	**3,559**	**-**	**3,559**	**3,442**	**129**	**3,570**
Liabilities and Stockholders' Equity						
Accounts payable	(202)	-	(202)	(250)	-	(250)
Accrued com.& benefits	(44)	-	(44)	(54)	1	(53)
Accrued payroll taxes	(4)	-	(5)	(3)	-	(3)
Accrued expenses	-	-	(0)	-	(1)	(1)
Customer deposits	(93)	-	(93)	(111)	-	(111)
Current portion of LT debt	(562)	-	(562)	(524)	-	(524)
Current liabilities	(905)	-	(905)	(942)	-	(942)
Long term liabilities	(1,985)	-	(1,985)	(1,808)	(128)	(1,936)
Total liabilities	**(2,890)**	**-**	**(2,890)**	**(2,751)**	**(128)**	**(2,879)**
Stockholders' Equity	(669)	-	(669)	(691)	-	(691)
Total liabilities and Stockholders' Equity	**(3,559)**	**-**	**(3,559)**	**(3,442)**	**(128)**	**(3,570)**

Source: Management provided information; KPMG analysis

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Financial performance by entity - Combining P&L (reported)

Combining IS (GAES, GADW, WIWM)

$'000	GAES	GADW	WIWM	FY17	GAES	GADW	WIWM	FY18	GAES	GADW	WIWM	TTM Jun-19
Revenue	8,081	5,497	2,096	15,673	8,736	6,191	2,378	17,305	8,944	6,475	2,266	17,685
Landfill expenses	(1,885)	(875)	(241)	(3,001)	(2,023)	(1,052)	(422)	(3,497)	(2,043)	(1,250)	(368)	(3,660)
Fuel	(711)	(582)	(166)	(1,460)	(911)	(767)	(238)	(1,916)	(885)	(774)	(200)	(1,858)
Truck maintenance	(787)	(606)	(135)	(1,528)	(875)	(653)	(110)	(1,638)	(884)	(768)	(89)	(1,741)
Equipment maintenance	(278)	(102)	(106)	(486)	(294)	(82)	(97)	(473)	(304)	(102)	(150)	(555)
Supplies	(95)	(33)	(86)	(214)	(119)	(49)	(70)	(238)	(141)	(63)	(78)	(282)
Landfill charges	-	-	(165)	(165)	-	-	(179)	(179)	-	-	(170)	(170)
Other cost of sales	(13)	-	-	(13)	(13)	-	(1)	(14)	(13)	-	(5)	(17)
Direct cost of sales	(3,769)	(2,198)	(899)	(6,866)	(4,234)	(2,604)	(1,117)	(7,955)	(4,270)	(2,955)	(1,059)	(8,284)
Salaries and wages	(2,312)	(1,567)	(388)	(4,267)	(2,498)	(1,695)	(542)	(4,734)	(2,607)	(1,788)	(504)	(4,899)
Insurance	(555)	(281)	(62)	(899)	(485)	(352)	(99)	(936)	(576)	(356)	(115)	(1,047)
Employment taxes	(184)	(123)	(34)	(341)	(195)	(135)	(39)	(370)	(205)	(136)	(39)	(380)
Other employee costs	(22)	(12)	-	(34)	(25)	(13)	(0)	(37)	(27)	(14)	(0)	(42)
Employee benefits	(36)	(0)	(2)	(38)	(1)	(16)	(0)	(17)	(3)	(2)	(1)	(5)
Direct employee costs	(3,109)	(1,984)	(486)	(5,579)	(3,204)	(2,211)	(680)	(6,094)	(3,417)	(2,296)	(659)	(6,372)
Cost of sales & employee costs	(6,878)	(4,183)	(1,385)	(12,446)	(7,438)	(4,814)	(1,797)	(14,049)	(7,687)	(5,252)	(1,718)	(14,656)
Gross profit	**1,203**	**1,314**	**711**	**3,227**	**1,298**	**1,377**	**581**	**3,256**	**1,257**	**1,223**	**548**	**3,028**
Depreciation and amortization	(545)	(722)	(660)	(1,927)	(511)	(793)	(1,806)	(3,110)	(512)	(831)	(1,897)	(3,240)
Insurance	(193)	(55)	(26)	(273)	(175)	(61)	(24)	(260)	(184)	(67)	(25)	(276)
Licenses and fees	(53)	(80)	(16)	(150)	(108)	(66)	(15)	(189)	(61)	(75)	(17)	(153)
Utilities	(75)	(62)	(26)	(164)	(75)	(66)	(39)	(180)	(78)	(66)	(40)	(184)
Rent	(60)	(52)	(0)	(112)	(60)	(54)	(0)	(114)	(60)	(54)	(0)	(114)
Contracted services	(55)	(160)	(10)	(225)	(37)	(71)	(16)	(124)	(41)	(72)	(3)	(117)
Office supplies	(39)	(34)	(5)	(77)	(46)	(35)	(7)	(89)	(48)	(37)	(7)	(91)
Bond/letter of credit	-	-	(68)	(68)	-	-	(75)	(75)	-	-	(76)	(76)
Property tax	(19)	(10)	(27)	(56)	(29)	(13)	(23)	(65)	(30)	(13)	(21)	(64)
Other operating expenses	(22)	(14)	(3)	(39)	(26)	(15)	(6)	(46)	(33)	(20)	(6)	(59)
Bad debts	(6)	(16)	-	(23)	(22)	(22)	-	(45)	(30)	(21)	-	(51)
Legal & professional fees	(20)	(5)	-	(25)	(23)	(10)	(1)	(35)	(19)	(9)	(14)	(42)
Advertising	(19)	(10)	(0)	(29)	(27)	(7)	(0)	(34)	(27)	(17)	-	(45)
Other operating expenses	(10)	(1)	(54)	(65)	(5)	(5)	(10)	(19)	(5)	3	(10)	(11)
Dues and subscriptions	(13)	(7)	(0)	(20)	(11)	(4)	(0)	(16)	(14)	(6)	-	(20)
Travel and entertainment	(7)	(2)	(11)	(20)	(9)	(6)	(2)	(17)	(8)	(6)	(1)	(16)
Total operating expenses	(1,136)	(1,231)	(907)	(3,274)	(1,163)	(1,229)	(2,025)	(4,417)	(1,150)	(1,292)	(2,117)	(4,559)
Net ordinary income	**67**	**83**	**(196)**	**(46)**	**135**	**148**	**(1,444)**	**(1,160)**	**107**	**(69)**	**(1,569)**	**(1,530)**
Net other income (expense)	(47)	(74)	30	(92)	(46)	(126)	12	(159)	(67)	(178)	58	(187)
Net income	**19**	**9**	**(167)**	**(138)**	**90**	**22**	**(1,431)**	**(1,319)**	**40**	**(247)**	**(1,511)**	**(1,717)**
EBITDA, reported	**628**	**833**	**577**	**2,039**	**688**	**942**	**507**	**2,137**	**653**	**734**	**544**	**1,931**

Source: Management provided information; KPMG analysis

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Financial performance by entity - Combining BS (reported)

Combining BS (GAES, GADW, WIWM)

$'000	GADW	GAES	WIWM	31-Dec-17	GADW	GAES	WIWM	31-Dec-18	GADW	GAES	WIWM	30-Jun-19
Assets												
Checking/savings	260	225	332	817	452	337	147	936	135	343	148	626
Accounts receivable	557	614	589	1,759	430	907	806	2,143	652	832	644	2,127
Prepaid expenses	34	296	29	358	65	322	39	426	61	353	62	476
Other current assets	-	-	554	554	-	-	549	549	-	-	525	525
Prebillings	(93)	(79)	-	(173)	(111)	(111)	-	(222)	(111)	(134)	-	(245)
Current Assets	757	1,054	1,504	3,316	835	1,456	1,541	3,832	737	1,393	1,379	3,509
Land	-	160	389	549	-	160	389	549	-	160	389	549
Construction in progress	15	102	16	133	45	127	15	187	225	302	13	539
Building improvements	6	484	361	851	6	484	398	888	6	484	-	490
Other assets	4,761	10,119	2,284	17,164	5,306	10,138	2,726	18,169	6,435	10,581	2,957	19,973
Accum. amortization and dep.	(2,091)	(8,518)	(1,858)	(12,466)	(2,877)	(8,778)	(1,968)	(13,623)	(3,282)	(8,983)	(1,847)	(14,111)
Fixed Assets	2,691	2,347	1,192	6,230	2,480	2,131	1,559	6,169	3,385	2,544	1,511	7,440
Notes receivable	-	1,868	-	1,868	0	1,937	-	1,937	1	1,779	-	1,780
Prepaid cell construction	-	-	5,312	5,312	-	-	5,347	5,347	-	-	6,277	6,277
Amortization	(2)	(219)	-	(221)	(4)	(219)	-	(224)	(5)	(220)	-	(225)
Amortized costs cells	-	-	(3,286)	(3,286)	-	-	(4,114)	(4,114)	-	-	(4,273)	(4,273)
Other assets	20	465	1,921	2,406	20	465	1,870	2,355	20	465	2,113	2,597
Other Assets	18	2,114	3,947	6,079	16	2,182	3,103	5,301	15	2,024	4,116	6,156
Total Assets	**3,466**	**5,516**	**6,642**	**15,625**	**3,331**	**5,769**	**6,203**	**15,303**	**4,136**	**5,962**	**7,006**	**17,105**
Liabilities & Equity												
Accounts payable	(202)	(930)	(202)	(1,333)	(250)	(1,113)	(645)	(2,007)	(375)	(1,194)	(1,180)	(2,750)
Accrued liabilities	(48)	(122)	(63)	(233)	(57)	(109)	(29)	(195)	(63)	(113)	(40)	(216)
Other current liabilities	(562)	(382)	(481)	(1,425)	(524)	(353)	(552)	(1,430)	(649)	(331)	(552)	(1,533)
Current Liabilities	(812)	(1,434)	(746)	(2,992)	(831)	(1,575)	(1,226)	(3,633)	(1,088)	(1,638)	(1,773)	(4,499)
Long Term Liabilities	(1,985)	(1,541)	(3,974)	(7,500)	(1,808)	(1,562)	(4,700)	(8,070)	(2,498)	(1,885)	(5,052)	(9,435)
Total Liabilities	**(2,797)**	**(2,975)**	**(4,720)**	**(10,492)**	**(2,640)**	**(3,137)**	**(5,926)**	**(11,703)**	**(3,585)**	**(3,523)**	**(6,825)**	**(13,934)**
Equity	(669)	(2,541)	(1,922)	(5,133)	(691)	(2,631)	(277)	(3,600)	(551)	(2,439)	(181)	(3,172)
Total Liabilities & Equity	**(3,466)**	**(5,516)**	**(6,642)**	**(15,625)**	**(3,331)**	**(5,769)**	**(6,203)**	**(15,303)**	**(4,136)**	**(5,963)**	**(7,006)**	**(17,106)**

Source: Management provided information; KPMG analysis

Adjusted P&L

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Adjusted IS - Combined (GAES, GADW, WIWM)

$'000	Reported IS FY17	Reported IS FY18	Reported IS TTM Jun-19	Definitional Adjustments FY17	Definitional Adjustments FY18	Definitional Adjustments TTM Jun-19	Potential Adjustments FY17	Potential Adjustments FY18	Potential Adjustments TTM Jun-19	Adjusted IS FY17	Adjusted IS FY18	Adjusted IS TTM Jun-19	As % of revenue FY17	As % of revenue FY18	As % of revenue TTM Jun-19
Revenue	15,673	17,305	17,685	-	-	-	(21)	-	-	15,652	17,305	17,685	*100.0%*	*100.0%*	*100.0%*
Landfill expenses	(3,001)	(3,497)	(3,660)	-	-	-	-	85	76	(3,001)	(3,412)	(3,585)	*(19.2)%*	*(19.7)%*	*(20.3)%*
Fuel	(1,460)	(1,916)	(1,858)	-	-	-	-	42	32	(1,460)	(1,874)	(1,826)	*(9.3)%*	*(10.8)%*	*(10.3)%*
Truck maintenance	(1,528)	(1,638)	(1,741)	-	-	-	-	-	9	(1,528)	(1,638)	(1,732)	*(9.8)%*	*(9.5)%*	*(9.8)%*
Equipment maintenance	(486)	(473)	(555)	-	-	-	-	-	-	(486)	(473)	(555)	*(3.1)%*	*(2.7)%*	*(3.1)%*
Supplies	(214)	(238)	(282)	-	-	-	-	-	-	(214)	(238)	(282)	*(1.4)%*	*(1.4)%*	*(1.6)%*
Landfill charges	(165)	(179)	(170)	-	-	-	-	-	-	(165)	(179)	(170)	*(1.1)%*	*(1.0)%*	*(1.0)%*
Other cost of sales	(13)	(14)	(17)	-	-	-	-	-	-	(13)	(14)	(17)	*(0.1)%*	*(0.1)%*	*(0.1)%*
Direct cost of sales	(6,866)	(7,955)	(8,284)	-	-	-	-	127	117	(6,866)	(7,828)	(8,167)	*(43.9)%*	*(45.2)%*	*(46.2)%*
Salaries and wages	(4,267)	(4,734)	(4,899)	-	-	-	178	253	216	(4,089)	(4,481)	(4,683)	*(26.1)%*	*(25.9)%*	*(26.5)%*
Insurance	(899)	(936)	(1,047)	-	-	-	-	-	143	(899)	(936)	(903)	*(5.7)%*	*(5.4)%*	*(5.1)%*
Employment taxes	(341)	(370)	(380)	-	-	-	-	-	-	(341)	(370)	(380)	*(2.2)%*	*(2.1)%*	*(2.1)%*
Other employee costs	(34)	(37)	(42)	-	-	-	-	-	-	(34)	(37)	(42)	*(0.2)%*	*(0.2)%*	*(0.2)%*
Employee benefits	(38)	(17)	(5)	-	-	-	(14)	(34)	(46)	(52)	(51)	(51)	*(0.3)%*	*(0.3)%*	*(0.3)%*
Direct employee costs	(5,579)	(6,094)	(6,372)	-	-	-	164	219	313	(5,416)	(5,875)	(6,059)	*(34.6)%*	*(33.9)%*	*(34.3)%*
Cost of sales & employee costs	(12,446)	(14,049)	(14,656)	-	-	-	164	346	430	(12,282)	(13,703)	(14,226)	*(78.5)%*	*(79.2)%*	*(80.4)%*
Gross profit	**3,227**	**3,256**	**3,028**	**-**	**-**	**-**	**143**	**346**	**430**	**3,370**	**3,603**	**3,458**	***21.5%***	***20.8%***	***19.6%***
Depreciation and amortization	(1,927)	(3,110)	(3,240)	1,927	3,110	3,240	-	-	-	-	-	-	-	-	-
Insurance	(273)	(260)	(276)	-	-	-	(38)	(38)	(47)	(311)	(298)	(323)	*(2.0)%*	*(1.7)%*	*(1.8)%*
Licenses and fees	(150)	(189)	(153)	-	-	-	(7)	(7)	(54)	(157)	(195)	(207)	*(1.0)%*	*(1.1)%*	*(1.2)%*
Utilities	(164)	(180)	(184)	-	-	-	-	-	-	(164)	(180)	(184)	*(1.0)%*	*(1.0)%*	*(1.0)%*
Rent	(112)	(114)	(114)	-	-	-	(116)	(114)	(114)	(228)	(228)	(228)	*(1.5)%*	*(1.3)%*	*(1.3)%*
Contracted services	(225)	(124)	(117)	-	-	-	83	-	-	(143)	(124)	(117)	*(0.9)%*	*(0.7)%*	*(0.7)%*
Office supplies	(77)	(89)	(91)	-	-	-	-	-	-	(77)	(89)	(91)	*(0.5)%*	*(0.5)%*	*(0.5)%*
Bond/letter of credit	(68)	(75)	(76)	-	-	-	-	-	-	(68)	(75)	(76)	*(0.4)%*	*(0.4)%*	*(0.4)%*
Property tax	(56)	(65)	(64)	-	-	-	-	-	(1)	(56)	(65)	(65)	*(0.4)%*	*(0.4)%*	*(0.4)%*
Other operating expenses	(39)	(46)	(59)	-	-	-	-	-	-	(39)	(46)	(59)	*(0.2)%*	*(0.3)%*	*(0.3)%*
Bad debts	(23)	(45)	(51)	-	-	-	-	-	6	(23)	(45)	(45)	*(0.1)%*	*(0.3)%*	*(0.3)%*
Legal & professional fees	(25)	(35)	(42)	-	-	-	-	-	4	(25)	(35)	(38)	*(0.2)%*	*(0.2)%*	*(0.2)%*
Advertising	(29)	(34)	(45)	-	-	-	-	-	-	(29)	(34)	(45)	*(0.2)%*	*(0.2)%*	*(0.3)%*
Other operating expenses	(65)	(19)	(11)	-	-	-	54	-	-	(11)	(19)	(11)	*(0.1)%*	*(0.1)%*	*(0.1)%*
Dues and subscriptions	(20)	(16)	(20)	-	-	-	-	-	-	(20)	(16)	(20)	*(0.1)%*	*(0.1)%*	*(0.1)%*
Travel and entertainment	(20)	(17)	(16)	-	-	-	-	-	-	(20)	(17)	(16)	*(0.1)%*	*(0.1)%*	*(0.1)%*
Total operating expenses	(3,274)	(4,417)	(4,559)	1,927	3,110	3,240	(24)	(159)	(206)	(1,370)	(1,465)	(1,524)	*(8.8)%*	*(8.5)%*	*(8.6)%*
Net ordinary income	**(46)**	**(1,160)**	**(1,530)**	**1,927**	**3,110**	**3,240**	**119**	**188**	**224**	**2,000**	**2,137**	**1,934**	***12.8%***	***12.3%***	***10.9%***
Net other income (expense)	(92)	(159)	(187)	249	346	407	(119)	(137)	(170)	39	50	51	*0.2%*	*0.3%*	*0.3%*
Net income	**(138)**	**(1,319)**	**(1,717)**	**2,177**	**3,456**	**3,648**	**0**	**50**	**54**	**2,039**	**2,187**	**1,985**	***13.0%***	***12.6%***	***11.2%***
EBITDA, reported	**2,039**	**2,137**	**1,931**	**-**	**-**	**-**	**0**	**50**	**54**	**2,039**	**2,187**	**1,985**	***13.0%***	***12.6%***	***11.2%***

Source: Management provided information; KPMG analysis

Appendix 5

Landfill performance and tonnage

The table below presents the WIWM landfill P&L and tonnage for FY17, FY18 and TTM Jun-19.

Adjusted income statement - WIWM

$'000	Reported IS (WIWM) FY17	Reported IS (WIWM) FY18	Reported IS (WIWM) TTM Jun-19	Adjusted IS (WIWM) FY17	Adjusted IS (WIWM) FY18	Adjusted IS (WIWM) TTM Jun-19	As % of revenue FY17	As % of revenue FY18	As % of revenue TTM Jun-19	Per ton FY17	Per ton FY18	Per ton TTM Jun-19
Revenue	2,096	2,378	2,266	2,096	2,378	2,266	*100.0%*	*100.0%*	*100.0%*	31.83	33.06	33.41
Landfill expenses	(241)	(422)	(368)	(241)	(337)	(292)	*(11.5)%*	*(14.2)%*	*(12.9)%*	(3.66)	(4.69)	(4.31)
Fuel	(166)	(238)	(200)	(166)	(196)	(163)	*(7.9)%*	*(8.2)%*	*(7.2)%*	(2.52)	(2.73)	(2.40)
Truck maintenance	(135)	(110)	(89)	(136)	(110)	(80)	*(6.5)%*	*(4.6)%*	*(3.5)%*	(2.06)	(1.53)	(1.18)
Equipment maintenance	(106)	(97)	(150)	(106)	(97)	(150)	*(5.0)%*	*(4.1)%*	*(6.6)%*	(1.61)	(1.35)	(2.20)
Supplies	(86)	(70)	(78)	(86)	(70)	(78)	*(4.1)%*	*(2.9)%*	*(3.4)%*	(1.31)	(0.97)	(1.15)
Landfill charges	(165)	(179)	(170)	(165)	(179)	(170)	*(7.9)%*	*(7.5)%*	*(7.5)%*	(2.50)	(2.49)	(2.50)
Other cost of sales	-	(1)	(5)	-	(1)	(5)	-	*(0.0)%*	*(0.2)%*	-	(0.02)	(0.07)
Direct cost of sales	(899)	(1,117)	(1,059)	(899)	(990)	(936)	*(42.9)%*	*(41.6)%*	*(41.3)%*	(13.65)	(13.77)	(13.81)
Salaries and wages	(388)	(542)	(504)	(311)	(390)	(389)	*(14.8)%*	*(16.4)%*	*(17.2)%*	(4.72)	(5.42)	(5.74)
Insurance	(62)	(99)	(115)	(62)	(99)	(115)	*(3.0)%*	*(4.1)%*	*(5.1)%*	(0.95)	(1.37)	(1.69)
Employment taxes	(34)	(39)	(39)	(34)	(39)	(39)	*(1.6)%*	*(1.7)%*	*(1.7)%*	(0.51)	(0.55)	(0.57)
Other employee costs	-	(0)	(0)	-	(0)	(0)	-	*(0.0)%*	*(0.0)%*	-	(0.00)	(0.00)
Employee benefits	(2)	(0)	(1)	(2)	(0)	(1)	*(0.1)%*	*(0.0)%*	*(0.0)%*	(0.02)	(0.00)	(0.01)
Direct employee costs	(486)	(680)	(659)	(409)	(528)	(544)	*(19.5)%*	*(22.2)%*	*(24.0)%*	(6.21)	(7.34)	(8.02)
Cost of sales & employee costs	(1,385)	(1,797)	(1,718)	(1,307)	(1,518)	(1,480)	*(62.4)%*	*(63.8)%*	*(65.3)%*	(19.86)	(21.11)	(21.82)
Gross profit	**711**	**581**	**548**	**788**	**860**	**786**	***37.6%***	***36.2%***	***34.7%***	**11.97**	**11.96**	**11.59**
Total operating expenses	(907)	(2,025)	(2,117)	(232)	(258)	(261)	*(11.1)%*	*(10.8)%*	*(11.5)%*	(3.52)	(3.58)	(3.85)
Net ordinary income	**(196)**	**(1,444)**	**(1,569)**	**556**	**602**	**525**	***26.5%***	***25.3%***	***23.2%***	**8.45**	**8.37**	**7.74**
Net other income (expense)	30	12	58	39	50	51	*1.8%*	*2.1%*	*2.2%*	0.59	0.69	0.75
Net income	**(167)**	**(1,431)**	**(1,511)**	**595**	**652**	**576**	***28.4%***	***27.4%***	***25.4%***	**9.04**	**9.07**	**8.49**
EBITDA, reported	**577**	**507**	**544**	**595**	**652**	**576**	***28.4%***	***27.4%***	***25.4%***	**9.04**	**9.07**	**8.49**
Landfill cash considerations												
Capital expenditures	(90)	(477)	(105)	(90)	(477)	(105)	*(4.3)%*	*(20.1)%*	*(4.7)%*	(1.36)	(6.63)	(1.55)
Cell construction	(97)	(36)	(965)	(97)	(36)	(965)	*(4.6)%*	*(1.5)%*	*(42.6)%*	(1.47)	(0.50)	(14.22)
Cell closure	(206)	(383)	(92)	(206)	(383)	(92)	*(9.8)%*	*(16.1)%*	*(4.1)%*	(3.13)	(5.33)	(1.36)
Perpetual care fund contributions	(229)	1	(116)	(229)	1	(116)	*(10.9)%*	*0.0%*	*(5.1)%*	(3.48)	0.01	(1.71)
EBITDA, cash adjusted	**(45)**	**(388)**	**(734)**	**(27)**	**(243)**	**(703)**	***(1.3)%***	***(10.2)%***	***(31.0)%***	**(0.41)**	**(3.38)**	**(10.36)**

Volume ('000 Tons)	FY17	FY18	TTM Jun-19
MCW	49	55	54
Industrial waste	14	16	12
Sludge	1	0	0
SW non hazardous	0	0	0
Other	1	1	1
Total	**66**	**72**	**68**

Source: Management provided information; KPMG analysis

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Summary of intercompany transactions

There are intercompany transactions between the target entities, such that GAES and GADW partially dispose of their waste at the WIWM landfill. As such, WIWM records an intercompany revenue and GAES and GADW records an intercompany expense. These entries are eliminated upon consolidated, however given that the Target does not prepare consolidated financial statements, revenue and cost of sales is currently overstated by the intercompany dumping fees generated (or incurred) by the affiliate entities. Similarly, receivables and payables are currently overstated by the intercompany dumping fees receivable (or payable) by the affiliate entities. Given this is simply a reclassification amongst entities, there is no impact to EBITDA or net working capital.

Balance sheet intercompany balances (GAES, GADW, WIWM)

		As at				Average			
$'000	**Entity**	**31-Dec-17**	**31-Dec-18**	**31-May-19**	**30-Jun-19**	**FY17**	**FY18**	**TTM May-19**	**TTM Jun-19**
Trade AR related to landfill charges from GAES	WIWM	536	751	670	590	631	761	714	697
Trade AP related to landfill charges to WIWM	GAES	(536)	(751)	(671)	(590)	(631)	(761)	(713)	(696)
Note receivable from GAES	WIWM	373	373	373	373	373	373	373	373
Note payable to WIWM	GAES	(373)	(373)	(373)	(373)	(373)	(373)	(373)	(373)
Note receivable from WIWM	GAES	105	228	203	167	41	169	199	198
Note payable to GAES	WIWM	(105)	(228)	(203)	(167)	(41)	(169)	(199)	(198)
Note receivable from GADW	GAES	16	(128)	(349)	(278)	11	(128)	(220)	(218)
Note payable to GAES	GADW	(16)	128	349	278	(11)	128	220	218
Net intercompany BS accounts		-	-	-	-	-	-	-	-

Source: Management provided information; KPMG analysis

Income statement intercompany balances (GAES, GADW, WIWM)

$'000	**Entity**	**FY17**	**FY18**	**TTM May-19**	**TTM Jun-19**
Intercompany landfill charges income	WIWM	1,156	1,337	1,341	1,318
Intercompany landfill charges cost	GAES	(1,156)	(1,337)	(1,341)	(1,318)
Intercompany labour transfer income	GAES	-	53	53	53
Intercompany labour transfer cost	WIWM	-	(53)	(53)	(53)
Net intercompany IS accounts		-	-	-	-

Source: Management provided information; KPMG analysis

Fleet aging profile

Information outstanding from Management

Trade receivables aging

The composition of aged receivables represents combined receivables for GAES, GADW and WIWM. Trade receivables for each respective entity is further delineated in the tables below.

AR aging summary - Combined (GAES, GADW, WIWM)

$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	989	816	215	69	12	2,102
As a % of total	*47.1%*	*38.8%*	*10.2%*	*3.3%*	*0.6%*	*100.0%*
31-Dec-18	1,212	327	182	423	2	2,147
As a % of total	*56.5%*	*15.2%*	*8.5%*	*19.7%*	*0.1%*	*100.0%*
31-Dec-17	835	480	175	212	8	1,709
As a % of total	*48.8%*	*28.1%*	*10.2%*	*12.4%*	*0.4%*	*100.0%*

AR aging summary - GAES

$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	480	221	64	67	-	832
As a % of total	*57.7%*	*26.6%*	*7.6%*	*8.0%*	*0.0%*	*100.0%*
31-Dec-18	764	122	23	18	-	928
As a % of total	*82.3%*	*13.2%*	*2.5%*	*2.0%*	*0.0%*	*100.0%*
31-Dec-17	339	174	56	33	-	603
As a % of total	*56.3%*	*28.9%*	*9.2%*	*5.6%*	*0.0%*	*100.0%*

AR aging summary - GADW

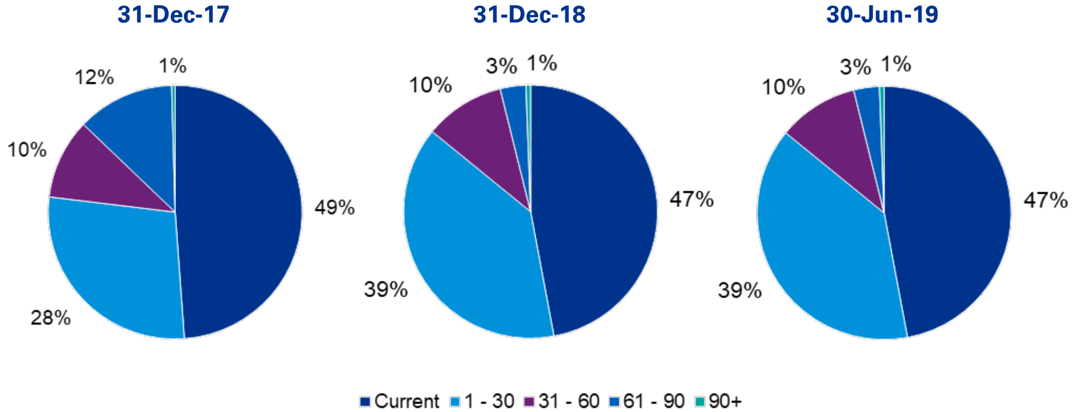
$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	384	242	11	2	12	652
As a % of total	*58.9%*	*37.2%*	*1.7%*	*0.3%*	*1.9%*	*100.0%*
31-Dec-18	293	94	19	5	2	413
As a % of total	*71.0%*	*22.7%*	*4.7%*	*1.2%*	*0.5%*	*100.0%*
31-Dec-17	276	215	14	6	8	518
As a % of total	*53.2%*	*41.5%*	*2.7%*	*1.1%*	*1.5%*	*100.0%*

AR aging summary - WIWM

$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	125	352	141	-	-	618
As a % of total	*20.2%*	*57.0%*	*22.7%*	*0.0%*	*0.0%*	*100.0%*
31-Dec-18	155	111	140	400	-	806
As a % of total	*19.3%*	*13.8%*	*17.4%*	*49.6%*	*0.0%*	*100.0%*
31-Dec-17	220	91	105	173	-	589
As a % of total	*37.3%*	*15.5%*	*17.9%*	*29.3%*	*0.0%*	*100.0%*

Source: Management provided information, KPMG analysis

Composition of aged receivables



Overview

- Receivables aged 90+ days accounted for $12,000 (or 0.6%) of total trade receivables as at June 2019, indicating a low collectability risk.
  - The Company's collection terms are typically within 30 to 60 days depending on the customer. Customers exceeding billing terms pay interest on the receivable. On a combined basis, interest income on receivables remained stable over the period FY17 to TTM June-19.
- The Company tracks aging of receivables on a by customer basis and uses a direct write-off method as receivables become uncollectible.
- The table below presents a reconciliation between trade receivables per the subledger and the internal trial balance. We noted an unreconciled difference that is immaterial across all periods under consideration.

AR reconciliation to Balance sheet

$'000	31-Dec-17	31-Dec-18	30-Jun-19
AR per aging schedule	1,709	2,147	2,102
Unreconciled variance	1,759	2,143	2,127
AR per balance sheet	**(50)**	**4**	**(26)**

Source: Management provided information, KPMG analysis

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Trade payables aging

The composition of aged payables represents combined payables for GADW, GAES and WIWM. Trade payables for each respective entity is further delineated in the tables below.

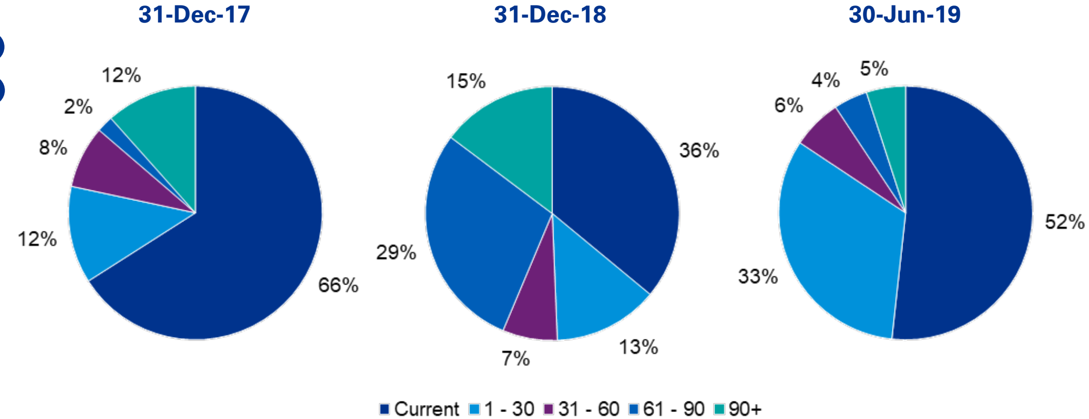
AP aging summary - Combined (GAES, GADW, WIWM)							
$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total	
30-Jun-19	1,423	896	175	118	138	2,751	1
As a % of total	51.7%	32.6%	6.4%	4.3%	5.0%	100.0%	
31-Dec-18	723	269	140	580	296	2,007	2
As a % of total	36.0%	13.4%	7.0%	28.9%	14.7%	100.0%	
31-Dec-17	880	165	106	28	155	1,333	
As a % of total	66.0%	12.4%	7.9%	2.1%	11.6%	100.0%	

AP aging summary - GAES						
$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	568	222	148	118	138	1,195
As a % of total	47.6%	18.6%	12.4%	9.9%	11.5%	100.0%
31-Dec-18	364	196	140	117	296	1,113
As a % of total	32.7%	17.6%	12.6%	10.5%	26.6%	100.0%
31-Dec-17	494	145	106	28	157	930
As a % of total	53.1%	15.6%	11.4%	3.0%	16.9%	100.0%

AP aging summary - GADW						
$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	367	9	-	-	-	375
As a % of total	97.7%	2.3%	0.0%	0.0%	0.0%	100.0%
31-Dec-18	247	3	-	-	-	250
As a % of total	98.8%	1.2%	0.0%	0.0%	0.0%	100.0%
31-Dec-17	205	0	(0)	-	(3)	202
As a % of total	101.4%	0.0%	(0.1%)	0.0%	(1.3%)	100.0%

AP aging summary - WIWM						
$'000	Current	1 - 30	31 - 60	61 - 90	90+	Total
30-Jun-19	488	666	27	-	-	1,180
As a % of total	41.4%	56.4%	2.2%	0.0%	0.0%	100.0%
31-Dec-18	112	70	-	463	-	645
As a % of total	17.3%	10.9%	0.0%	71.8%	0.0%	100.0%
31-Dec-17	181	21	-	-	-	202
As a % of total	89.8%	10.2%	0.0%	0.0%	0.0%	100.0%

Composition of aged payables



Overview

- Payables aged 90+ days account for $138,000 (or 5%) of total trade payables as at June 2019. This is driven by intercompany trade payables between GAES and WIWM, which represents minimal default risk.

1. On a combined basis, payables aged 1-30 days account for $896,000 (or 32.6%) of total payables as at June 2019. This is primarily driven by a payable of $507,000 to “Clean Air & Water Systems LLC” related to the water well construction for the new cell.
2. As at December 2018, payables aged 61-90 days accounted for $580,000 (or 28.9%) of the total trade payables. This is due to a payable of $463,000 to “Geo-Synthetics LLC” in relation to a new liner for the construction of the new cell.

- The Company typically pays external payables within 30 days.

Source: Management provided information, KPMG analysis

Appendix 10

Organizational structure

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Information outstanding from Management

Contacts

The contacts at KPMG in connection with this report are:

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